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SOAR Platform Deep Dive: Institutional Analysis

Executive Summary

SOAR Overview: SOAR is an on-chain fundraising platform that enables early-stage companies to raise capital by issuing **"Ownership Coins" (OCs)** instead of equity [1]. These tokens are positioned as *non-dilutive* and *liquid* exposure to a startup's future value, offering global investors access to venture opportunities traditionally limited to private markets [1]. Founders retain 100% of their equity ownership and control, while incurring a **senior debt obligation** to SOAR that is contingent on the company's future success [2] [3]. Investors (participants) receive tradeable tokens that *represent a claim* on the company's value indirectly through SOAR, rather than direct equity rights [4] [5]. This structure – dubbed the **Digital Representation of Participation (DRP)** – attempts to align incentives and enforce transparency in token launches by binding the company with contractual commitments instead of granting token holders formal equity or governance [6] [7].

Lifecycle: A company launching via SOAR goes through a structured lifecycle. Founders create a project profile and complete verification (KYC/KYB and domain authentication) to become "Verified," signing a **Launch Agreement and an Equity (Debt) Agreement Addendum** with SOAR [8] [9]. The token is designed with a standardized **1 billion max supply** (representing 100% of future company value) [10], but only ~6–7% is initially minted for public sale and liquidity [11] [12]. There are **no team or insider token allocations at launch** – founders do not receive a token grant up front [13]. The initial distribution occurs via an on-chain automated market maker (a bonding curve), where investors swap stablecoin (e.g. USDC) for the project's tokens [14]. A **90-day post-launch freeze** then prohibits founders from minting new tokens or withdrawing liquidity, preventing immediate sell-offs ("pump-and-dump" behavior) [15] [16]. After this period, founders can issue more tokens (from the remaining unminted ~93% supply) but must publicly disclose the amount and purpose and wait 72 hours before release [17]. As the company grows, the founder may **buy back tokens from the market** using company profits to reduce the outstanding token supply – directly lowering their debt obligation to SOAR [18] [19]. In a **liquidity event** (e.g. acquisition or IPO), the company must pay SOAR a fraction of the exit proceeds equal to the percentage of tokens in circulation [20]. SOAR in turn will use those proceeds for the benefit of token holders (e.g. redemptions, buybacks, airdrops), effectively passing the value to the community [21] [22]. Throughout the lifecycle, SOAR provides a platform for **community engagement** (project updates, chat, social links) and enforces transparency (real-time fully diluted valuation, on-chain announcements) [23] [24].

Claims vs. Verifiability: SOAR's public claims center on **alignment and integrity**. It markets itself as a solution to "valueless tokens" and misaligned incentives in crypto fundraising [25] [26]. Key claims include: (a) **Non-dilutive capital** – founders raise funds without giving up equity [27] [3]; (b) **Fair launch with true valuation** – only a small float is released and **FDV = market cap** (no hidden large token allocations that later flood the market) [23]; (c) **Investor protection** – mandatory holding periods for founders and public disclosures for any token minting, deterring sudden dumps [28] [15]; and (d) **Intrinsic value linkage** – tokens are tied by contract to the company's value (via the debt agreement), unlike typical utility tokens which have no clear claim [7] [4]. Many of these claims are supported by the platform's design and legal framework – for example, the standardized tokenomics and the signed agreements are **verifiable** (the smart contract code on Solana implements the 1B supply and freeze [29], and founders indeed sign a binding contract with SOAR). The initial projects (e.g. Empulser, DeFiance Media) on SOAR have launched with ~5% circulating supply, and **no team wallets**, corroborating the "SOAR way" practice [30] [13]. However, **some claims remain untested or trust-dependent**. Notably, the enforcement of the debt obligation is off-chain and hinges on **legal contracts** and founder integrity – it is *not* automated via smart contract beyond the token supply mechanics [4] [5]. Thus, while SOAR publicly assures that token holders will indirectly benefit from company success, this *requires trust* that the company will honor the contract and that SOAR will distribute the value to holders fairly. In summary, SOAR introduces an innovative model blending on-chain tokens with off-chain legal agreements. It offers compelling alignment features (no equity loss for founders, liquid participation for investors, built-in anti-rug mechanisms) that set it apart from both traditional fundraising and past crypto launch paradigms. **The remainder of this report** provides a detailed analysis of SOAR's incentive alignment, lifecycle process, compliance posture, and a benchmarking against alternatives, followed by a red-team critique, risk assessment, and templates for decision-making. This analysis is intended to withstand rigorous due diligence and adversarial scrutiny, helping institutional stakeholders evaluate SOAR's viability in a **founder's fundraising journey or an investor's portfolio strategy**.

Alignment Matrix: Stakeholder Incentives and Interests

The following matrix examines how SOAR's structure aligns (or misaligns) the incentives of key stakeholders – **Founders, Investors (token holders), the Platform, Regulators,** and the broader **Community**. We outline each stakeholder's motivations, the mechanisms by which SOAR addresses those, and any potential conflicts.

Stakeholder	Incentives & Interests	Alignment via SOAR	Potential Misalignments
Founders (Startup Teams)	- Raise capital quickly without losing equity or control. - Maintain company ownership upside and decision-making power. - Achieve liquidity for the business earlier than a traditional exit. - Build a loyal user/ investor community around the product.	- **Non-dilutive funding:** Founders keep 100% of equity; SOAR funds are structured as *debt*, not equity, so founders retain voting control [3] . This aligns with founders' desire to avoid dilution while still obtaining growth capital. - **Liquidity & market signal:** The token's market price provides real-time feedback on company valuation and access to a global investor base, aligning with founders' interest in market validation and publicity. [31] [32] - **Community engagement:** Requiring founders to engage with token holders (through updates, social channels) can turn investors into a supportive user community, aligning with customer development goals. - **Incentive to succeed:** The *debt obligation* means if the company thrives and exits, a portion of value goes to SOAR/token holders [20] . Founders are thus motivated to increase company value, which also benefits token holders (higher token price, potential redemption) – a generally aligned outcome.	- **No immediate downside for failure:** If the startup fails or never has a liquidity event, the founder keeps the raised funds and never pays the debt back, while token holders bear losses. This asymmetry (investors lose, founder keeps equity) could *dis-incentivize* marginal founders from fully committing post-raise (a moral hazard). - **Token management burden:** Founders must manage a publicly traded asset (the token) in parallel to running the company. This adds pressure to support token value (via communication or buybacks) which may conflict with long-term business decisions. A founder could become overly fixated on short-term token price, misaligning with building fundamental value. - **Exit timing conflict:** Founders might delay or structure an exit to minimize the payout (debt) to SOAR. For instance, a founder could *avoid a formal "Liquidity Event"* or seek non-traditional exits to sidestep the debt trigger – misaligning with investors expecting a payout. (The agreements likely aim to prevent this, but enforcement is a question of legal follow-through.) - **Limited oversight:** Unlike VC investors, token holders (and SOAR) have no board seats or formal governance in the company. A founder with funds in hand might make decisions that benefit themselves (e.g. high salary, risky pivots) that token holders can't easily check, leading to potential misalignment in execution.

Investors (Token Holders)	- Achieve venture-like returns with liquidity (ability to trade out before a distant exit). - Gain exposure to startup growth **without accreditation** (open to global retail). - Transparent terms and protection against common crypto risks (rug pulls, hidden inflation). - Some economic claim on the company's success (seeking a share in upside similar to equity).	- **Liquid participation:** Tokens can be traded any time, giving investors flexibility to take profits or cut losses. This aligns with investors' desire for liquidity, unlike traditional private equity which locks capital for years. [33] [34] - **Structured value link:** The token is explicitly tied to company value via the SOAR contract. Investors know from day one that if X% of tokens are in circulation, those represent X% of the company's future exit value owed by the company [20] . This provides a *concrete economic narrative* (akin to "X% of future equity") rather than vague utility. It aligns expectations that their upside comes from the company's performance, addressing the "what does this token represent" problem [7] [35] . - **Anti-dump protections:** The 3-month freeze and required disclosures for any new token issuance protect investors from sudden dilution or insider sales [15] [28] . This aligns with investors' interest in **market integrity**, reducing the risk of the typical post-IDO price crashes due to team token unlocks [23] . - **Community and access:** Investors are part of the project's community (with direct communication channels to founders) and potentially can influence via informal feedback.	- **No governance or direct claim:** Investors hold tokens that explicitly confer *no voting rights and no guaranteed claim on assets* [6] . All enforcement of their economic interest is indirect via SOAR. This means if a company refuses or cannot pay at exit, token holders themselves have no direct recourse. They must trust SOAR to enforce the contract and distribute value. This lack of control can be a misalignment if management's decisions diverge from investors' best interests. - **Information asymmetry:** While SOAR encourages transparency, token investors do not get the depth of due diligence or ongoing reporting that VCs or even equity crowdfunders might (e.g. audited financials or quarterly updates are not legally required). They rely on whatever the founder shares on the platform. This could misalign expectations, as unsophisticated investors might assume the platform's "Verified" badge implies more vetting or guarantee than it does [36] [37] . - **Speculation vs. fundamentals:** Liquid tokens invite speculators who may not be long-term aligned. Some investors may simply chase price momentum, which can introduce volatility disconnected from the company's actual performance. That volatility can harm the community and undermine the "aligned supporter" thesis if short-term traders dominate the market. - **Dependency on SOAR's solvency and honesty:** Investors need SOAR to be functional at the time of an exit to receive the benefits

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		This gives a sense of involvement and alignment beyond just holding a token, somewhat mimicking the engagement of crowdfunding backers or early evangelists.	(since SOAR collects the debt payoff and *then* distributes it). If SOAR (the company/platform) were to fail or act maliciously (e.g. not pass on value to holders), investors could be left with nothing. This is a trust requirement that is not present in traditional equity (where investors have direct legal ownership in the company).

Platform (SOAR)	- Generate revenue and long-term upside by facilitating successful launches. - Build a reputation as a **compliant, high-quality market** for on-chain startup investing (to attract both investors and credible founders). - Ensure the integrity and survival of the model (avoid legal shut-downs or high-profile failures). - Eventually profit from companies' exits (the **debt repayment**), and interim fees.	- **Success-linked upside:** SOAR's model defers its major payoff to when a portfolio company exits, as it is entitled to the debt amount (a percent of company value) at that time [20]. This aligns SOAR's incentive with *long-term success* of the companies – the more value they create, the more SOAR eventually earns. It discourages SOAR from pushing valueless projects; they gain little from short-term hype if it never leads to an exit. - **Platform fees for sustainability:** In the interim, SOAR takes fees from token swaps/trading (estimated ~1% per trade, with a portion shared to project and scouts [38]). This gives SOAR ongoing revenue as trading volume grows. It aligns with maintaining investor engagement and liquidity (higher volume benefits everyone's interests in a healthy market). It also means SOAR has a stake in preventing fraud or crashes that would kill trading activity. - **Brand and curation:** SOAR curates projects and applies **KYC/verification** standards [39] [40], aligning with regulators' and serious investors' interests. By *filtering for quality*, SOAR builds credibility, which in turn attracts better founders and more institutional participants – a positive cycle aligned with all stakeholders (good	- **Conflict between volume and quality:** Because SOAR earns fees on trading volume and has a **1% token allocation** in each project [43], it might be tempted to onboard many projects (to get more immediate fees and token upside), even if some are borderline. There's a tension between *quality control* and *scaling the platform*. If SOAR ever prioritizes quick fees over vetting, that misaligns with both investors and regulators. - **Delayed gratification risk:** SOAR's big reward comes only at company exit, which might be years away or never. This could pressure SOAR (as a business) to seek revenue elsewhere or take actions misaligned with token holder interests (e.g. pushing projects to list on exchanges or encouraging speculative behavior to boost short-term volume/fees). An adversarial view is that SOAR could make money even if projects ultimately fail, as long as there was trading activity – similar to how some launchpads profit from hype. This misalignment depends on SOAR's integrity and long-term strategy. - **Regulatory tightrope:** SOAR operates in a gray area (token that is "not equity" but clearly tied to company value). The platform's interest is to *avoid classification as a securities exchange or broker*, to not be shut down [41]. This may lead to conservative or opaque behaviors: e.g. restricting U.S. users or limiting certain communications. Actions taken to protect SOAR (the business) legally could at times conflict with maximal usability or openness for the community

Stakeholder	Incentives & Interests	Alignment via SOAR	Potential Misalignments
		projects → investor trust → more capital → success stories). - **Community trust:** The platform positions itself as a neutral facilitator (not a broker or advisor) [41] but one that “has the back” of token holders (e.g. through the contract enforcement and potential token buybacks/airdrops with debt proceeds [21] [22]). By doing so, SOAR aligns itself with investor interests – its public communications emphasize *benefitting holders* in ecosystem decisions [42] . This alignment is crucial for SOAR’s long-term viability (if token holders feel cheated, the platform dies).	(e.g. sudden geo-blocking of users, or delisting a project under regulatory pressure, harming investors). - **Enforcement burden:** In a liquidity event, SOAR must enforce the debt collection from the company and decide how to distribute it to token holders [44] [22] . SOAR has *sole discretion* on how to use the proceeds for holder benefit, which could be seen as a conflict: e.g. if there are multiple options (buy tokens vs. cash payout vs. airdrop another token), SOAR might choose the path that benefits its reputation or future business interests. There’s an element of **centralization** and trust in the platform to act in holders’ best interest at that critical moment.

Regulators (Legal System)	- Protect investors (especially retail) from fraud and undue risk. - Ensure compliance with securities laws, AML/KYC, and fair market practices. - Encourage capital formation but within a framework that maintains market integrity and accountability.	- **KYC/AML compliance:** SOAR requires founders to undergo KYC/KYB and verify their identities and businesses [45]. Participants use crypto wallets but the platform can enforce KYC for certain actions if needed. This aligns with regulators' AML goals. The platform's **Terms of Service** explicitly prohibit use by sanctioned individuals and jurisdictions [46], showing a compliance posture. - **Transparency & disclosures:** The model mandates public disclosures of token supply changes and ties token value to a real-world metric (company value) [17] [28]. These are quasi-disclosure requirements akin to public markets, which regulators would view positively compared to opaque ICOs. Also, SOAR's legal agreements mean there is *documentation* (even if private) behind each offering, unlike the completely unregulated ICO era. - **Investor protection mechanisms:** Features like the lock-up, prohibition on founder selling immediately, and equal pricing for all participants (no insider discounts) are measures that align with the spirit of securities regulations (fair access and preventing dumping on retail) [15] [23]. Regulators concerned with pump-	- **Security law compliance:** Despite SOAR's disclaimers that tokens "should NOT be considered securities" [6], regulators may view them as such (economic reality over form). If regulators decide these tokens are unregistered securities, the platform and possibly projects are in violation. In that sense, SOAR's interests and regulators' mandates are at odds. The platform's alignment with regulators is tentative – it's essentially *trying to achieve the outcomes* of investor protection without registering the tokens. This precarious position could lead to enforcement actions (misalignment) if, for example, the SEC determines the tokens meet the Howey Test (investment of money in a common enterprise with expectation of profit from others' efforts [7] [4]). - **Lack of reporting requirements:** Traditional equity crowdfunding requires ongoing reporting and limits on amounts [49] [50]. SOAR does not currently impose such rigorous financial disclosure on companies beyond the initial profile and updates. Regulators might see this as insufficient transparency for retail investors, causing friction if they demand more oversight. In a red-team scenario, a regulator might argue that SOAR is effectively running unregistered securities exchanges or broker-dealer activity, which is misaligned with the platform's non-broker stance [41]. - **Enforcement practicality:** The debt agreements are private contracts. Regulators might worry about how *enforceable*

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		and-dump schemes might see these as positive innovations to reduce investor harm. - **Jurisdiction and arbitration:** SOAR is incorporated in Wyoming and uses Wyoming law with mandatory arbitration for disputes [47] [48]. By defining jurisdiction, SOAR signals readiness to handle legal issues in a U.S. framework, rather than evading it offshore. This alignment could make regulators slightly more comfortable that aggrieved parties have a legal path (albeit arbitration).	these are for protecting investors, especially across borders or if a company folds [51]. A bankruptcy court, for instance, may not prioritize a debt to SOAR (and thus token holders) if the company goes under. This means that despite good intentions, the structure might fail to protect investors in worst-case scenarios – a misalignment with the regulatory objective of ensuring accountability. - **Global differences:** SOAR's alignment with U.S. (Wyoming) law might not satisfy regulators elsewhere. EU, UK, or Asian regulators could view the tokens differently. Compliance in one jurisdiction might be misalignment in another. The platform may need to geo-fence or customize per region (potentially limiting the "anyone, anywhere" promise), and any misstep could cause regulatory crackdowns misaligned with SOAR's growth plans.

Community (Broader Ecosystem)	- Cultivate a broad base of supporters and early adopters around the startup's product/ service. - Leverage token as a marketing tool to increase user engagement (users become investors and vice versa). - Shared sense of ownership or participation in the startup's journey, beyond pure financials. - Network effects: more participants can lead to more liquidity and more collective diligence on projects.	- **Inclusive access:** By allowing retail participation globally, SOAR aligns with the community's desire for **democratized access** to startup investing [52]. Enthusiasts who are priced out of VC can participate with even small amounts. This inclusivity can galvanize a passionate community who feel they are on equal footing in investing – a positive alignment for community morale (and one of SOAR's core missions). - **Skin in the game for users:** Customers of a product can be token holders, meaning they have financial incentive to see the company succeed. This often leads to grassroots promotion, user feedback, and beta testing from a deeply invested community, aligning perfectly with a founder's need for engaged early users. The token provides a *sense of ownership* (even if not formal equity) that traditional customer communities lack. [32] - **Scouting & referral incentives:** SOAR's model even formalizes community growth via the **Scout Program**, rewarding individuals (including VCs or connectors in the community) for bringing quality projects [53] [38]. This aligns community influencers' incentives with platform growth and	- **Expectation vs. reality:** Community members may *feel* like owners, but in reality have no voting power and must rely on the platform's and founders' benevolence. If not clearly communicated, this could lead to confusion or backlash ("we helped build this, why don't we have a say or direct share?"). Misalignment can occur if a passionate community disagrees with founder decisions but has no formal influence – potentially leading to public disputes or loss of community trust. - **Speculative outsiders:** Not all token buyers are loyal community members; some could be pump-and-dump groups or outsiders exploiting hype. These actors can hurt genuine community members by creating volatility. The community's interest in steady, genuine growth is misaligned with speculators' interest in short-term price swings. Despite SOAR's safeguards, this risk remains and can fracture communities into true believers vs. traders. - **Dilution of community voice:** If a project attracts large institutional token buyers (e.g. crypto funds) who scoop significant supply, the "community" voice could be dominated by a few whales. While all tokens are equal economically, in practice big holders might exert outsized sway (through informal channels or market moves). This could marginalize small community investors, a misalignment with the egalitarian access narrative. - **Overhype and burnout:** Communities around investments can become echo

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		project success, essentially crowdsourcing part of the deal flow and due diligence from the community for mutual benefit. - **Transparency and discussion:** Projects have public pages, and presumably community forums or chats, which means community members can collectively scrutinize and discuss startups. This hive-mind diligence can surface issues or validate good actors, aligning with investors' need for information. It's a more transparent environment than closed-door VC deals, catering to the community's value of open information.	chambers of hype. There's a risk that community members encourage unsustainable valuation or pressure the team for token price growth rather than constructive product feedback. If a project falters, these same members could turn into a fickle crowd, harming the company's reputation publicly. This dynamic – well-known in crypto – can misalign with the founder's need to focus on product over price. Proper expectation setting and community management are required to mitigate this.

Alignment Summary: Overall, SOAR's design addresses many classical incentive problems. **Founders** and **investors** share a long-term goal (company success increases founder's equity value and investors' token value), yet their relationship lacks the formal governance link of equity – SOAR steps in as an intermediary enforcer, which is both the innovation and a point of **trust tension**. The **platform's interests** are largely aligned with both sides in fostering successful outcomes and fair market practices, though the platform's dual role (market operator and contract counterparty) introduces potential conflicts that must be managed via transparent policies. **Regulators** would appreciate some of SOAR's alignment measures (transparency, anti-fraud mechanisms) but may remain skeptical until the model proves itself compliant under law – there is partial alignment in objectives but possible conflict in definitions. The **community** stands to benefit from open access and engagement, aligning with the ethos of democratized finance, but the informal nature of their "ownership" means maintaining trust and managing expectations is crucial. The matrix above highlights that while SOAR has engineered a structure to **balance stakeholder interests**, it also concentrates a great deal of *responsibility on the platform* (to act as referee and debt-holder on behalf of investors). This centralization of trust is a notable misalignment risk in an otherwise promising alignment story, and it will be revisited in the red-team critique.

SOAR Launch Lifecycle Flowchart

Stage 1 – Onboarding & Verification: A founder begins by creating a **SOAR account and project draft** on the platform [54] [55]. They input core project information: company name, description, website, and branding images. At this "Draft" stage the project is not yet public. Founders are encouraged to **"Get**

Discovered" by completing their profiles and connecting social accounts (e.g. X/Twitter, Discord) to build credibility [24]. To move forward, the founder undergoes **Basic Verification** – proving control of their company's domain either by email verification or DNS record [56] [57] – ensuring the project is authentic and not an imposter. For full "Verified" status (which historically correlates with 5× more engagement and 10× more capital raised [8] [58]), the founder must complete **KYB/KYC** through a third-party (e.g. Persona) for themselves and any beneficiaries, and **sign the legal agreements** (the Launch Agreement and Equity/Debt Addendum) [8] [45]. This process typically requires uploading corporate details (incorporation, EIN, etc.) and personal ID for background checks [45]. Once the agreements are e-signed and KYC approved (which can take minutes or up to ~24 hours [59]), the project earns a "Verified" badge on the platform. At this point, the project can also request **"Curated"** status – essentially an extra layer of vetting by SOAR for promotional spotlight, though curation is discretionary [60]. Verified+Curated projects get scheduled "takeoff" dates and featured marketing, roughly every 5–10 days per SOAR's pipeline [61].

Stage 2 – Token Design & Preparation: In parallel with verification, the founder configures the token parameters using SOAR's guided interface. The token standard is pre-defined: **1,000,000,000 max supply** = 100% future company value [62]. The interface enforces **"Burn the Boats" parity** – meaning the fully diluted valuation will equal the initial market cap; there are no extra token allocations outside the 1B supply that could surprise investors later [12] [30]. Typically, **5% of tokens are earmarked for launch** as the circulating supply [11], and up to **1% for project growth** (market-making, exchange listing liquidity, marketing incentives) [11]. Additionally, **1% is automatically minted to SOAR's own multisig wallet** at launch (SOAR's fee in tokens) [43]. The remaining ~93% of tokens stay unminted in the smart contract, only to be issued via the regulated process if needed for future fundraising or team incentives [63]. The founder does **not** allocate themselves any initial tokens; instead, after a **3-month cliff**, the system allows the founder to start minting tokens (from the unminted pool) for themselves or others, but only with the required public disclosures [17] [64]. This effectively forces founders to **"earn" their tokens** over time by hitting milestones, aligning their rewards with long-term success [13]. During preparation, the founder also sets up a **liquidity pool** for trading. SOAR uses a bonding curve/ automated market maker (AMM) model for the initial sale, which requires an initial price or curve parameters. The typical approach is to seed the pool with a small amount of the token and an equivalent stablecoin (USD1 or USDC) to establish a starting price, then allow the smart contract to mint and release tokens as more buyers join, increasing price along the curve [14] [65]. SOAR's documentation implies that as participants swap stablecoin for tokens, **a portion of each transaction is taken as a fee and routed to the project's treasury** (as well as to SOAR) [66] [65]. Before launch, founders are encouraged to **engage the community**: sharing their SOAR project page, gathering followers, answering questions in chat, etc. The platform may list the project in an "Upcoming Launches" section if curated, helping it gain visibility. Once ready, the founder clicks **"Launch"**.

Stage 3 – Launch & Distribution: Launch initiates the **smart contract deployment on Solana** for the project's token [67]. The contract creation and initial mint (5% + fees) happen in one transaction, locking the initial token supply into the liquidity pool. At this moment, the project status moves from "Draft/ Scheduled" to **"Launched"**, and the token begins trading on SOAR's integrated DEX interface (and potentially any Solana DEX, since compatibility with standard wallets is maintained [68]). SOAR broadcasts the launch across its **Feed and social channels**, announcing the new investment opportunity (the documentation calls it a "Senior Debt opportunity" to emphasize the nature of the token) [69] [70]. Investors can now swap stablecoins for the token in a self-service manner. Early buyers will get the token at the lowest prices, and as more buy orders come in, the bonding curve raises the price incrementally, which in turn sets a market-driven valuation for the startup. This process continues until essentially the market finds equilibrium; there may be an initial surge if the project is popular. The **Initial Capital Formation** phase is thus completed, and the company's treasury gains funds from the buyers. For example, if $100,000 is raised, the company keeps most of that (less any immediate fees or liquidity locked) as working capital [71]. The founder cannot withdraw the liquidity pool's funds during the freeze, meaning the pool remains to facilitate trading, ensuring investors who bought can also sell to others (though within 3 months the token supply and the initial liquidity remain fixed) [72] [73]. **Platform Fees:** At launch, SOAR's smart contract likely collects the platform's fee in the form of that 1% token mint and possibly a small cut of the raised funds or trading fees. As noted, scouts who referred the project get a share of SOAR's fees (25%) distributed in stablecoin to their accounts automatically [38]. The initial trading period will generate swap fees; part of those fees go to the project's wallet as per SOAR's model (a novel feature that gives the startup ongoing revenue), part go to SOAR, and part possibly to liquidity providers if any (though in this case the main LP is just the project's initial pool) [74] [75].

Stage 4 – Post-Launch: Lockup, Growth, and Secondary Market: For the first **3 months post-launch, a strict lockup** is in effect [72]. The founder cannot mint additional tokens or sell any (not that they hold any yet), and the initial liquidity in the pool is locked (ensuring there's always a market). This period is crucial for building **trust and performance history**. The token will trade freely in the market – its price reflecting the community's collective outlook on the startup. Founders are expected to focus on *building the business* during this time, since, unlike a traditional crypto project, they didn't get a huge token allocation they could dump; their only way to eventually monetize is to create real value and thereby allow the token price to rise. Participants are protected from sudden dilution or exits, which encourages a more stable price discovery. After 90 days, the founder gains the ability to utilize the unminted token reserve. At this point (and any time thereafter), if the founder wants to **issue more tokens** – for example, to raise a second round of funds on SOAR or to allocate tokens to a new team member or strategic partner – they must follow the **72-hour disclosure protocol** [17]. This involves submitting an on-chain request that is publicly visible (and likely mirrored on the SOAR website and social media) stating how many new tokens are needed and for what purpose [17]. The community and investors get a 3-day notice. This mechanism is analogous to public companies announcing new stock issuance or insiders' intent to sell – it aims to keep the market informed and reduce shock. If the plan is acceptable, after 72 hours the founder can mint the tokens. Market participants, having had time to digest the news, may adjust the price accordingly (ideally preventing a surprise crash). In practice, additional token issuances will *increase the company's debt percentage* (since a higher circulating % means a larger chunk of exit value owed) [76]. This naturally limits over-issuance: founders know that minting too many tokens too fast is like taking on more debt against their company, which they will have to pay later [77]. Thus, they are likely to be judicious and only raise non-dilutive capital as needed and as justified by growth (alignment by design). During the post-launch phase, **secondary market trading** continues. If the project performs well (hits milestones, good news flow), demand for tokens may increase, raising the price and market cap. SOAR's platform tracks **FDV (Fully Diluted Valuation)** in real-time, which in this case is essentially the same as market cap (since hidden supply is accounted for in the model) [23]. A rising token price benefits all holders and also the founder indirectly (since it indicates the market believes in the company, potentially aiding future fundraising or partnerships). Founders can also begin to **earn ongoing revenue** from trading: a portion of each token swap (perhaps 0.1–0.3% of volume) is sent to the project's treasury by the SOAR protocol [78] [75]. This is an innovative feature – effectively, the more interest in the token (liquidity, trading activity), the more cash the startup generates passively, creating an incentive to keep token holders engaged. Meanwhile, **SOAR's role** is relatively passive day-to-day: it does not act as a market maker or give investment advice [41] [79]. It continues to host the project's page, and likely provides customer support and monitors for abuse (ensuring no manipulation or prohibited behavior on the platform). Projects that have launched can eventually transition to a "Senior Debt" label on their profile once they complete all verification steps (if they launched first and verified later, for example). This signals to investors that the project is fully compliant within SOAR's standards.

Stage 5 – Buybacks and Long-Term Alignment: As time progresses, a successful company will generate revenues or profits. At any point after launch (post-freeze), the company can choose to use some of its off-chain cash to **buy back tokens from the open market**. These buybacks serve two purposes: (1) They provide *liquidity and support* to the token price – beneficial for investors and market confidence, and (2) Any tokens bought back can be sent to the company's **Custodial Wallet (CW)** or burned, effectively reducing the circulating supply [80] [81]. Reducing circulation lowers the percentage of company value owed as debt. For example, if 10% of tokens were out and the company buys back half of them, now only 5% are out – meaning if an exit occurred then, only 5% of the exit value would be owed (versus 10% earlier) [19] [18]. This dynamic creates a **"push-pull equilibrium"** [80]: founders are motivated to maximize their eventual equity payoff by repurchasing tokens (pulling tokens out of circulation), while token holders benefit in the interim from those buybacks (price likely rises due to demand, and there's confidence the company is doing well enough to invest in its tokens). The system aligns with how public companies might do stock buybacks to boost shareholder value – here it's to reduce a future obligation, but it similarly signals confidence. Founders must balance using profits for growth versus buybacks; both paths can increase company value, but only buybacks directly decrease the debt. This is a strategic decision akin to deciding between reinvestment or paying down debt in traditional businesses, and SOAR's framework essentially treats token supply as debt principal that can be retired.

Stage 6 – Liquidity Event (Exit): The endgame for a SOAR-launched company is a **Liquidity Event** – typically defined in the contract as a sale of the company, merger, or IPO (any event where the founders and equity holders get to cash out). When such an event is on the horizon, the company is *contractually required* to calculate the percentage of tokens in circulation and prepare to **repay that percentage of the company's value to SOAR** [20]. For instance, if at exit 8% of the tokens are in public hands, the company must pay 8% of the total deal value to SOAR (in cash or equivalents). This payment is essentially the settlement of the debt that was incurred by launching on SOAR. The **priority** of this debt is important – the documentation calls it *senior equity* or a senior obligation [82], implying it might be treated akin to a senior preference in the payout stack (potentially even before common equity). Once the liquidity event triggers, **SOAR receives the funds** (since SOAR was the counterparty to the debt agreement) and then **distributes value to token holders**. SOAR "retains exclusive right" to decide how to process the proceeds for the benefit of holders [44]. In practice, SOAR could: facilitate a direct **redemption** (e.g. each token holder can redeem tokens for a pro-rata share of the cash), or perform a massive **buyback and burn** on-market to drive token price to reflect the buyout price, or even **airdrop equity or new securities** to token holders if a legal pathway exists [22]. The exact method may depend on what is legally feasible at that time and what yields the fairest outcome. Ideally, by this stage, the token's market cap should converge with the payout value. If SOAR does a redemption, the token essentially becomes a claim on that 8% of the company's sale price, meaning token holders get their share and the token might then be retired. Through this process, the investors who got in early on the startup via tokens realize their portion of the exit value – accomplishing a similar financial result as if they had equity, but via a different route. It's important to note that because SOAR is the legal party to the contract, **token holders rely on SOAR to execute the final step** faithfully. Assuming all goes well, the outcome is that the founder got non-dilutive funding initially and kept control throughout, and the investors got liquidity along the way plus a payoff at exit commensurate with their share of tokens. The **platform** takes its success fee (the debt percentage) but presumably passes it through (minus any cut they keep, though it's implied this debt is meant for token holders' benefit [44]).

If a company **fails or shuts down** without a lucrative exit, the outcome is different: like any debt, if the company liquidates in bankruptcy, whatever assets are left may or may not cover the debt to SOAR. In most startup failures, probably nothing is left for unsecured creditors. SOAR's FAQ frankly states: if the project fails, the debt remains a liability, but recovery depends on legal circumstances and remaining assets [83] [84]. In such a scenario, token holders likely lose their investment (much like equity holders would). The token may drift toward zero in market value. SOAR itself might attempt to enforce claims on any residual IP or assets, but practically, this is a high-risk aspect for investors.

Diagrammatic Summary: *(In absence of an actual image, the lifecycle can be summarized in a flow sequence)*:

1. **Application & Verification:** Founder applies → KYC/KYB → signs **Launch & Debt Agreements** (non-dilutive funding contract) [8] .
2. **Token Setup:** 1B max token supply; ~5% minted for launch, **no founder tokens initially** [11] . Smart contract deployed on Solana.
3. **Launch Event:** Project goes live on SOAR → Investors swap stablecoin for tokens via bonding curve (initial raise goes to company treasury) [14] . Token begins trading; 90-day freeze on new tokens or liquidity removal [72] .
4. **Post-Launch Trading:** Token floats on open market (price reflects startup valuation sentiment). Founder engages community; platform collects/tracks fees. Founder **earns revenue** from trading fees and gains market feedback [75] .
5. **Growth & Follow-on:** After 3 months, founder may mint more tokens *with 72h notice* (e.g. for additional fundraising or team rewards) [17] . Company may also use *profits to buy back tokens*, reducing debt% [18] . Both actions are transparent and influence token supply and company obligation.
6. **Exit or Buyout:** At liquidity event, company owes SOAR a % of exit value equal to tokens in circulation [20] . SOAR receives payment and **disburses value to token holders** via redemptions, buy-backs, or other mechanisms [44] . Investors realize returns; founder's debt is settled (founder kept equity minus the paid portion); SOAR takes its fee and proves the model's full cycle.

Throughout this lifecycle, SOAR provides ongoing support such as a **dashboard** for founders to track performance (Total Projects, market cap, etc.), and a checklist guiding them toward Verified status [85] [86] . The platform also ensures **equal treatment** of projects (no favoritism beyond the Curated marketing boost) and refrains from any market manipulation [87] [88] . In summary, the lifecycle from onboarding to exit is **highly structured and transparent**, aiming to align short-term actions (token trading, community building) with long-term outcomes (successful exit where everyone wins). The success of this lifecycle in practice will depend on quality deal flow and disciplined execution of these rules by all parties.

Platform Benchmarking Matrix: SOAR vs. Alternative Funding Models

SOAR's **Internet Capital Market** approach can be compared across multiple dimensions to five alternative fundraising models: 1. **Crypto Token Launchpads (IDO platforms)** – decentralized launchpads (e.g. Polkastarter, DAO Maker) that facilitate initial DEX offerings. 2. **Exchange IEOs** – centralized exchange launchpads (e.g. Binance Launchpad, KuCoin Spotlight) conducting initial exchange offerings. 3. **Equity Crowdfunding** – regulated platforms (e.g. Republic, Wefunder) where startups sell equity or SAFEs to retail investors under exemptions (Reg CF, Reg A+). 4. **SPVs / Tokenized SPVs** – special purpose vehicles created to pool investors (often accredited) into a single entity to invest in a startup's equity, potentially represented by tokens (security tokens). 5. **Traditional Venture Capital** – private placements of equity or convertible instruments to institutional and accredited investors (VCs, angel syndicates).

Below is a benchmarking matrix highlighting key factors:

Factor	SOAR (Tokenized DRP)	Crypto IDO Launchpad (Decentralized)	Exchange IEO (Centralized)	Equity Crowdfunding (Reg CF/Reg A+)	Tokenized SPV (Syndicate or STO)
Founder's Capital *(Dilution vs. Obligation)*	**Non-dilutive; debt obligation.** Founder raises capital by issuing tokens but retains 100% equity [3]. Incurs a **contingent debt** (must pay a % of company value at exit) [20]. No equity or warrants given up, preserving voting control.	**Non-dilutive initially (if token is utility)**; founder often retains a large token reserve (which can be considered founder's "share"). However, these tokens usually are not a formal claim on equity – effectively founder is selling future network utility or rights. Some dilution in token holdings if considering total supply, but not equity dilution.	**Typically non-dilutive to equity.** The project mints a new utility token; exchange may require allocation of tokens (e.g. 10-25%) to conduct the IEO. Founder's equity is untouched, but they *do* part with a chunk of token supply (which could be considered economic dilution of the project's token economy).	**Dilutive to equity.** Founder sells actual securities (equity or SAFE notes) to the crowd. Equity ownership % is reduced (up to the amount sold, often <10% per round due to $5M cap) [89]. Founder may lose some control if voting stock or face many small shareholders (usually handled via a crowd SAFE).	**Dilutive to equity.** The SPV (or tokenized fund) invests in the startup for equity. The founder gives up typically 5-20% equity depending on round. The dilution is consolidated in one SPV on the cap table, but economically it's the same as a normal equity round. Tokenization here refers to the *investors' side* (their SPV shares are tokenized), not to the company issuing its own token.

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Investor Profile & Access	**Retail & global** by design – "anyone, anywhere" with a crypto wallet (subject to platform KYC restrictions). No accreditation needed [52]. Targets tech-savvy retail, crypto investors, and perhaps crossover funds. Likely attracts those interested in both startups and digital assets.	**Retail crypto investors**, often global. Users usually need to hold the launchpad's native token or pass whitelists. Participation is permissionless in principle (if you have the required tokens/stakes), but not regulated – open to non-accredited, though specific launchpads might geofence U.S./China. Investor base skews towards crypto enthusiasts seeking high returns; quality varies.	**Exchange users, mostly retail**. Participants must have an account on the exchange (KYC'd typically) and often need to hold/stake the exchange's token to qualify. Broad but *somewhat gated* retail access. Heavily marketed to the exchange's user base, which can include millions of retail traders. Accredited status not required generally (exchanges pick jurisdictions or exclude U.S.).	**Retail investors, including non-accredited,** but within regulatory limits [49]. Mostly domestic (platforms often U.S.-focused or EU-focused due to compliance). Often enthusiasts of the product or community members. There are investment limits per person (for non-accredited) to protect them [90]. Also some small institutional or angel participation possible within those raises.	**Accredited and institutional investors** in most cases. If it's a private syndicate (e.g. AngelList SPV), only accredited investors can join. If tokenized via a security token offering, it might target accredited or use Reg D/Reg S for international – still limiting retail. Access is thus *restricted*, though tokenization could allow easier transfers later among qualified investors.

Compliance & Regulatory	**Regulatory gray zone** – Tokens are structured to *avoid being securities* (no formal equity rights) [6], and platform is not a broker/ exchange by ToS [41]. However, economic reality is investment-like. SOAR performs KYC on founders and has legal agreements, but tokens trade freely. No SEC filing; relies on **Wyoming law and arbitration** [48] [47]. It's a novel approach possibly fitting under debt or novel token exemptions, but untested. If deemed securities, non-compliance with registration is a risk.	**Largely unregulated**. IDOs often circumvent securities laws by labeling tokens as utility tokens. No investor caps or required disclosures (beyond what the project volunteers). High regulatory risk – many jurisdictions consider these sales illegal offerings if accessible. Some launchpads implement KYC to exclude certain regions, but they don't register offerings. Smart contracts handle distribution; it's essentially "buyer beware" with minimal legal protection.	**Exchange-regulated, but not securities-regulated (usually).** Exchanges vet projects for quality and to protect their reputation [91]. Participants are KYC'd as exchange users. However, tokens are typically still sold as "utility" tokens, not registered with regulators. The exchange provides an *appearance* of due diligence and may impose lockups on team tokens to avoid dumps. Regulatory stance: if exchanges are reputable, they try to avoid listing clear securities. Some exchanges have legal teams to ensure the token economics look utility-like. Still, there's risk – regulators could scrutinize IEOs, but so far enforcement has been limited compared to ICOs.	**Fully regulated securities offering.** In the U.S., typically **Reg CF** (up to $5M, with SEC filings and use of a registered funding portal) [49] or **Reg A+** for larger raises up to $75M. Companies must provide disclosure documents (financial statements, business description) and file with the SEC. Investors sign subscription agreements or SAFEs. **KYC/AML** is done on investors by the portal. Securities purchased cannot be freely traded for a year (illiquid) [92] unless a registered exchange listing later. High compliance burden but investor protections (anti-fraud provisions apply, bad actor checks, etc.).	**Regulated private placement.** The SPV itself might be set up under Reg D (506(b) or 506(c)), meaning only accredited U.S. investors or non-U.S. (Reg S). If tokens are issued representing SPV shares, these are **security tokens** and must comply with securities law (e.g. transfer restrictions enforced via smart contract). Platforms like Securitize or AngelList handle compliance (KYC investors, whitelist addresses). Trading of these tokens, if allowed, might occur on registered ATS (alternative trading systems) or via peer transfers after lockup. Overall, heavy compliance on both the fund formation and the token issuance – legal costs and oversight by SEC if under

Factor	**SOAR (Tokenized DRP)**	**Crypto IDO Launchpad** (Decentralized)	**Exchange IEO** (Centralized)	**Equity Crowdfunding** (Reg CF/Reg A+)	**Tokenized SPV** (Syndicate or STO)
					Reg D (file Form D) or other exemption.

Investor Liquidity	**High liquidity on token** (24/7 trading on Solana DEX). Investors can sell at any time post-launch; no lockup for buyers (the freeze is on founder's ability to mint/sell, not on participants trading). However, low liquidity projects could see slippage. Eventually, at company exit, token holders get a value distribution. Tokens *cannot be resold as equity*, but the token itself is freely tradeable like any crypto asset.	**High liquidity** (in theory). Tokens are immediately tradeable on DEXs or even CEX after IDO. No resale restrictions (unless the project/team impose vesting on certain allocations). Often, liquidity is initially provided by the funds raised (part goes into a DEX pool). Many IDOs have very volatile trading in early days, and liquidity can evaporate if hype dies. No protections on price.	**Moderate to high liquidity.** Exchange usually lists the token right after IEO on their secondary market. Given the exchange's user base, there's typically active trading (and often market makers involved to ensure order book liquidity). Early investors can sell once trading opens (some IEOs enforce brief lockups for initial buyers, but generally many can sell immediately). Liquidity is high compared to other methods, but the exchange may also have safeguards (like Binance often has large user base ensuring liquidity).	**Very low liquidity.** Reg CF or Reg A equity is **not freely tradable** unless the platform provides a secondary market. By law, Reg CF securities have a 12-month lock before resale (and even then can only be sold under certain exemptions or if the company lists on an exchange) [92]. Some crowdfunding portals (e.g. StartEngine) have secondary trading boards, but volume is low. Investors should expect to hold until an exit (acquisition or IPO) – essentially illiquid like normal startup equity. Reg A+ can sometimes list on minor exchanges, but that's closer to mini-IPOs. In summary, liquidity is the poorest in this category.	**Low to moderate liquidity.** If an SPV is tokenized, in theory those tokens could be traded among accredited investors or on an ATS, providing some secondary market before exit. In practice, markets for security tokens are nascent – an investor might find a buyer privately, but it's not guaranteed. Some platforms have bulletin boards for secondary trades. Traditional SPVs (non-tokenized) are completely illiquid (you can't sell your stake easily). Tokenization promises improved liquidity via blockchain, but due to regulatory hurdles, it's still quite limited (maybe a quarterly auction or trades on a platform like tZERO or Openfinance for those specific tokens). Still

Factor	**SOAR (Tokenized DRP)**	**Crypto IDO Launchpad** (Decentralized)	**Exchange IEO** (Centralized)	**Equity Crowdfunding** (Reg CF/Reg A+)	**Tokenized SPV** (Syndicate or STO)
					nowhere near the instant liquidity of crypto tokens.

Incentive Alignment Structure	**Built-in alignment via debt token.** Founders only win big if company value grows (since they haven't cashed out equity and must pay at exit) [20] . Token investors benefit from both trading and eventual company success, but have no governance – they rely on SOAR enforcing alignment. The token economics discourage founder dumping and unsustainable hype (locking team tokens for 3 months, requiring disclosures, etc.) [15] [17] . There is continuous incentive for founder to increase value and buy back tokens (to reduce debt) [18] , which helps investors. However, investors must trust founder and platform to honor agreements	**Often misaligned incentives.** Many IDO projects suffer from founders holding a large reserve of tokens that they can dump after a vesting period, and early investors looking for quick flips. There's typically no tether of token value to real company value – if the project doesn't require the token for usage, it can be purely speculative. Launchpads try to vet, but rug pulls have happened. The low float/high FDV model (small % released, huge theoretical market cap) can mislead investors [23] . There's little recourse if a team abandons project post-raise. Essentially, outside of reputation, no strong alignment: founder might get rich upfront from token	**Moderate alignment.** The exchange's due diligence and lockup requirements (if any) impose some discipline – for example, Binance Launchpad typically mandates vesting for team tokens and sometimes release schedules that align with project milestones. The exchange's reputation is on the line, so it tends to list somewhat stronger projects, aligning investors with at least a baseline of quality [93] . However, once the token is trading, the exchange doesn't enforce project execution. Founders still might walk away rich from an IEO if token price skyrockets and they held a portion (though exchanges often require use of funds for project). Some alignment exists via market forces (if founder dumps, price collapses, reputation loss), but structurally, investors have no legal claim on the company – only the utility of	**Strong alignment via equity ownership,** but diluted by number of investors. Crowdfunding investors usually get a SAFE or common shares – their upside is directly tied to company success (if it exits, they get equity share). Founders do give up equity, aligning them with investors (both share in the exit). However, many small investors have no control or influence (alignment is purely financial). Founders might feel less beholden to a crowd of minor shareholders than to a major VC, potentially a misalignment in oversight. That said, anti-fraud regulations and the presence of a crowd can deter egregious misalignment. The relatively small amount raised means founders likely still need other skin-in-the-game (like VC money) later. So alignment is decent financially, but operationally the crowd often	**High alignment financially; moderate in control.** Investors in the SPV have exact equity stake in company via the SPV, so if company succeeds, they succeed – same as any equity round. Founders are diluted, so they have shared upside but also have given up ownership. If the SPV is led by an angel or VC, that lead might represent investor interests (alignment through oversight). If tokenized, the transparency might allow investors to see company updates etc., but typically SPV investors still rely on lead or the company for information. The alignment is basically that of a normal equity round: legal rights (often via SPV's operating agreement) ensure investors get

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	(soft enforcement). Overall alignment is strong in theory, with **legal contracts and tokenomics** tying everyone to company performance.	sales, whereas investors hope the token will be used in ecosystem (often uncertain). Some launchpads require team tokens locked for a year or more to align, but that's a voluntary measure and doesn't guarantee project success focus.	tokens. So alignment depends on founder's integrity and the need to maintain token value for future raises or usage.	plays a passive role beyond possibly being customers/fans.	paid in exit or have certain protections. However, having many small investors (even if aggregated) doesn't necessarily add value beyond money; alignment in terms of involvement is minimal (investors are usually passive after funding).

Founder Burden & Process	**Moderate burden on founder:** Must handle legal agreement with SOAR, but much lighter than negotiating a VC term sheet (templates provided by platform) [8]. Compliance like KYC/domain verification is required but streamlined [45]. The technical launch is simplified via SOAR's tools (no need to write custom token code – it's standardized). The major burden is **community management and transparency**: founders need to actively engage a large number of token holders, provide updates, and be mindful of token market dynamics. Also must plan for eventual debt repayment. No formal board or investor reports required, but to succeed they should	**High technical/ marketing burden:** Founders often need to produce a whitepaper, marketing campaign, build a community (Telegram/ Discord) hype, and sometimes develop a prototype, all to appeal to crypto investors. There's less formal due diligence, but the onus is on founder to build buzz and manage the token economics. Many launchpads require holding their tokens or certain hoops, which can be confusing. The process of an IDO can be quick (weeks) but if poorly managed, can flop. After launch, founder must manage token community and potentially handle exchange listings, etc., often without much	**Moderate burden, assisted by exchange:** Exchange teams typically guide the project through a vetting and preparation process – which can be rigorous (technical audits, legal reviews) to ensure project quality. Founder must provide detailed info, tokenomics, sometimes agree to lockups. The marketing is often co-handled by the exchange (a big plus). The exchange sets up the sale infrastructure. So the process is relatively founder-friendly once accepted – the challenge is *getting accepted* (only a small fraction of projects get top-tier IEOs, requiring strong credentials). Post-IEO, the exchange may offer some advisory and a ready market. The founder still must handle the pressure of a listed asset and investor relations, but has a major platform's backing in early stages.	**High administrative and legal burden:** Founders must prepare disclosure documents (which might include financial statements, business plan, risk factors) for the SEC filing [96]. They also usually create a campaign page explaining the investment, engage with a large number of potential investors answering questions, etc. Working with the funding portal includes setting a valuation or terms (often a SAFE with a cap). Legal counsel is often needed to ensure compliance. The timeline can be 1-3 months to launch a Reg CF campaign due to filings. After raising, the founder has obligations: minor reporting annually, keeping track of potentially hundreds or thousands of small shareholders (though many on Reg CF are via a custodial agent to simplify cap table). There's burden in managing possibly *unfiltered investors* (who might email	**Moderate to high upfront work, somewhat streamlined if via platform:** Setting up an SPV via AngelList or similar is relatively quick (they handle legal formation). But the founder still has to pitch to lead investors or a syndicate and negotiate terms as with any equity round. If doing a security token offering, the founder needs to engage legal to structure it (could be Reg D or Reg A+ which is a heavy process). The token tech side might be handled by a issuance platform. In general, dealing with accredited investors is not as burdensome as a public crowd – fewer people to manage, but they will do due diligence. If a notable lead is involved, a lot of the process is like a normal VC deal (term

Factor	**SOAR (Tokenized DRP)**	**Crypto IDO Launchpad** (Decentralized)	**Exchange IEO** (Centralized)	**Equity Crowdfunding** (Reg CF/Reg A+)	**Tokenized SPV** (Syndicate or STO)
	maintain trust via communication. Overall, faster to raise on SOAR (could be weeks) than traditional fundraising, but then ongoing responsibility to a public market.	structured support – essentially a full-time focus on token matters, which can distract from product development. Little legal paperwork beyond maybe terms for token buyers (if any).		or comment a lot). However, some platforms allow communication to funnel through them. It's like a mini-IPO process, albeit scaled down – definitely more work upfront than a simple token launch, but within a known regulatory framework.	sheet, etc.) with an added layer of tokenization. Founders also have to consider compliance (e.g. ensuring they only sell to verified investors). Post-fundraising, handling an SPV is easier on cap table (just one entry), but if tokens are traded, the founder might need to keep an eye on cap table changes for disclosure. Compared to VC alone, adding tokenization adds some complexity but can be manageable with service providers.

Market Integrity & Oversight	**Transparency enforced on-chain and via contracts.** The platform design eliminates hidden token buckets – all tokens are accounted in the 1B supply, and initial float is low but known [23]. Required public disclosure of any new minting or founder sale intentions is a unique market integrity measure [17]. SOAR itself does not make markets or guarantee liquidity [88], reducing conflict of interest. There is no internal exchange order book – trading is on-chain AMMs, so manipulation would have to be on the open market (which is possible, but large swings are visible to all). The **Verified** badge and KYC process provide a level of quality control (founders are identified and	**Often lacking oversight.** Many IDO platforms are decentralized or semi-curated but have had issues with scams or "rug pulls." Some launchpads do basic project vetting, but there's no regulatory oversight or assurance of disclosures. Price manipulation is common: small floats and hype can lead to pumps, and insiders might dump when price peaks. There's generally no lockup for public buyers – so first comers can dump on later ones within minutes. Integrity tools are minimal – perhaps whitelists and caps per buyer to prevent whales taking all allocation, or vesting for team/investors to prevent instant dumps. Still, numerous IDOs have seen extreme volatility and	**Exchange-enforced integrity.** Exchanges have a vested interest in preventing scams – they conduct due diligence on projects (review team credibility, code audit, etc.) [93]. They often mandate certain **disclosures** (project must publish a detailed whitepaper, token release schedule). The exchange may impose buy caps or lottery systems to ensure broad distribution. Team tokens are usually locked and vested, reducing immediate dump risk. On launch day, the exchange might have measures to mitigate volatility (e.g. initial trading in a controlled manner or price bands). Since trades occur on the exchange, there is some market surveillance – the exchange can freeze trading if irregularities occur. However, exchanges also benefit from volume, so they might not prevent speculative spikes unless it threatens	**Regulated market integrity.** By law, information provided to investors must be truthful (anti-fraud laws apply). Funding portals must register with the SEC/FINRA and have certain responsibilities: they provide educational materials, and they can deny obviously fraudulent offerings [49]. There are **limits on investment per person** to reduce harm from any single failure [98]. Additionally, crowdfunding usually requires a target amount and deadline; if not met, funds are returned (so no partial raises that limp along – it's success or refund) [99]. Market manipulation is minimal because there's no secondary trading initially. After the raise, investors hold securities privately. The portals and issuers must keep records, and any material misrepresentation can lead to liability. Overall,	**Emerging integrity measures.** In a tokenized SPV scenario, the integrity is as good as the underlying legal framework. If it's an AngelList SPV, for instance, that's a standard legal entity – investors sign docs, funds go into escrow, etc. Those processes are established and trustworthy. The tokenization part typically would not compromise integrity – it's just a digital representation of SPV shares, often with transfer restrictions coded in. There might be *smart contract risk* if poorly implemented, but reputable platforms would audit it. Secondary trading of security tokens can be monitored; for example, trades might only occur on approved ATS, which have

	bound by real-world contracts, discouraging fraud) [39] . That said, no external regulator oversees SOAR trades; it's self-regulated. The Terms give SOAR power to halt or terminate projects for abuse [97] , which can protect integrity if exploited. In summary, integrity relies on code rules and SOAR's enforcement of agreements, aiming for a fair marketplace.	collapses in price once trading opens, indicating integrity problems. No unified secondary market surveillance – trading happens on DEXs where anything goes. So market integrity is low compared to more structured models.	their reputation. Overall, IEOs have better integrity than ICOs/IDOs: fewer outright scams (the exchange's reputation is on the line) and somewhat structured trading. But they are not immune to projects underdelivering or tokens losing value after the initial hype – at which point the exchange typically doesn't compensate investors.	integrity is high in terms of process (everything is documented, transparent offering terms, and regulated). The trade-off is the market isn't continuous or liquid to police – it's more like a series of one-time offerings. But that means less risk of pump-dump; valuations are set during the campaign and investors buy at that price. Future rounds dilute earlier investors, but that's standard equity practice and disclosed in terms.	oversight. Still, because this is relatively new, market integrity depends on each platform's technology and compliance. There's a possibility of low liquidity leading to price manipulation in secondary market for the tokens (if one exists), but given the accredited investor base and oversight, it's more controlled. Also, since the token is directly tied to equity, there's less incentive for hype – price would reflect the last valuation mostly. In summary: integrity is anchored by traditional legal contracts, with blockchain adding transparency (cap table visible, etc.). The main integrity concern might be ensuring that the tokenization doesn't allow unauthorized

Factor	SOAR (Tokenized DRP)	Crypto IDO Launchpad (Decentralized)	Exchange IEO (Centralized)	Equity Crowdfunding (Reg CF/Reg A+)	Tokenized SPV (Syndicate or STO)
					trades (which platforms guard via whitelisting addresses).
Notable Pros *(vs SOAR)*	*(Baseline:)* – **Fast liquidity** for investors; **no equity loss** for founders; on-chain transparency; incentivizes founder to grow value; access for all investors globally; fewer gatekeepers.	– Proven to raise large sums quickly in bull markets. – Decentralized: no single authority, community-driven hype can bootstrap a project. – No strict compliance (faster launch, less upfront cost). – Can build a large user base from token holders rapidly (good for network-effect products).	– Exchange's reputation lends credibility; higher chance of quality projects [93] . – Immediate exchange listing = high liquidity and price discovery. – Marketing boost from exchange (exposure to millions of users). – Often raises are smoother (infrastructure handled by exchange, fewer tech issues). – Investors feel safer due to exchange vetting and potential support (e.g. marketing, initial liquidity provided).	– Legal investment with enforceable equity ownership (investors have clear rights). – Access to capital from *fans and customers* who can become brand ambassadors. – Permits retail participation but under regulated limits (protects investors from overexposure). – Often not valuing company as high as crypto hype, so pricing may be more reasonable and stable. – Founder can raise marketing visibility (crowdfunding doubles as promotion). – Some portals offer post-raise support or partnerships (e.g. product exposure).	– Combines traditional equity's security with blockchain's efficiency in sharing/trading ownership (in theory). – Could reduce administrative friction: smart contracts to manage cap table, instant settlement. – If secondary trading is enabled, gives some liquidity without full public listing (innovative way for investors to exit earlier). – Still involves sophisticated investors, so company gets possibly mentorship or connections from them (if an angel leads the SPV). – Founder's cap table stays clean (just one SPV entry), avoiding having 100s of direct investors.

Notable Cons *(vs SOAR)*	*(Baseline:)* – Regulatory uncertainty; requires trust in off-chain enforcement; potential for token volatility; founders have to manage a large retail investor base which might be fickle; model unproven at large scale (new).	– Extremely volatile; prone to scams/rug pulls (low assurance) [25] . – Retail often left holding bags if team dumps or project fails – many tokens go to zero. – No legal recourse if project rugs; purely speculative in many cases. – Hype-driven valuations (often unrealistic FDV) can harm credibility. – Requires crypto-savvy investors; mainstream institutional money usually avoids IDOs.	– Limited slots: retail often can't get large allocation (lotteries or small caps per person). – Still largely speculative tokens; investors have no real claim on equity or assets. – Exchange listing can give false sense of security – projects can still fail fundamentally. – Founder might face pressure from exchange to deliver quick results or marketing events to keep volume up (so exchange looks good), which can be distracting. – Not accessible to U.S. investors typically (major exchanges geoblock certain regions for IEO participation).	– Funding cap ($5M/year for Reg CF) can be limiting for larger capital needs [101] . – Slow process and heavy compliance cost relative to amount raised (legal and accounting fees). – Illiquid for investors (they may discount value due to long lockup). – Managing many small shareholders (even if via an agent) can be cumbersome at exit or future rounds (often need to convert crowd SAFE to equity, etc.). – Typically no secondary market feedback – valuation only revisited at next funding event, not continuously. Hard for investors to mark-to-market.	– Still experimental: few success stories yet of tokenized equity SPVs at scale. – Regulatory complexity: navigating securities laws and setting up trading can be costly and tricky (potential legal risk if tokens trade improperly). – Low liquidity if trading only among limited participants – investors might *assume* liquidity but find little demand to buy their token. – Need for trustworthy platform: if platform managing tokenization fails or has a bug, investors could be at risk (tech layer of risk on top of normal investment risk). – Less community building: investors are accredited and fewer, so it doesn't double as marketing or user base expansion like crowdfunding

Factor	SOAR (Tokenized DRP)	Crypto IDO Launchpad (Decentralized)	Exchange IEO (Centralized)	Equity Crowdfunding (Reg CF/Reg A+)	Tokenized SPV (Syndicate or STO)
					or token communities do.

Key Takeaways: Compared to these alternatives, **SOAR occupies a hybrid space** – blending the liquidity and open access of crypto launchpads with some of the accountability of equity financing. Its distinctives are the **non-dilutive nature** (no equity surrendered, unlike equity crowdfunding or VC) and the **intrinsic value tether** (unlike standard utility tokens, SOAR's token has a contractual value relationship) [102] [4]. The trade-offs include regulatory uncertainty (it doesn't fit neatly into existing regimes) and the reliance on a central platform for enforcement (unlike pure DeFi or pure legal equity, it's a mix requiring both smart contracts and legal contracts to work in concert). Traditional VCs might view SOAR as *complementary* rather than strictly competing – e.g. a company might raise initial funds on SOAR and later still do a VC round, or vice versa. From an investor perspective, SOAR offers a novel asset class: *liquid venture exposure*. In comparison to equity crowdfunding, investors on SOAR get liquidity and potentially higher upside (if token trades up) but sacrifice formal rights and must stomach volatility. Versus typical crypto launches, investors in SOAR projects have more fundamental underpinning and transparency, but likely less insane 100× hype pumps (since the structure curbs some speculative frenzy and founders cannot run off with funds easily). Overall, SOAR attempts to balance **market speed and freedom (crypto-style)** with **investor protection and alignment (tradfi-style)** in ways these other platforms each only partially address. Whether it outperforms them will depend on execution and how well it navigates the risks noted.

Red-Team Critique of SOAR

Despite SOAR's innovations, a rigorous adversarial analysis reveals several areas of concern and potential failure modes. This **red-team critique** highlights where SOAR may be vulnerable – either structurally or operationally – under hostile scrutiny:

- **Unproven Legal Foundation – Security Law Risk:** SOAR asserts its tokens are *not* securities, but this stance may not hold. Tokens tied to a company's future value could meet the **Howey Test** of an investment contract (money investment, common enterprise, expectation of profit from others' efforts) [7] [4]. If regulators (e.g. SEC) deem these tokens securities, SOAR and its issuers have effectively conducted unregistered securities offerings. This exposes the platform and founders to enforcement (cease-and-desist, fines, rescission demands). SOAR's Terms disavow being an exchange or broker [41], but regulators could disagree given it facilitates trades. A red team would note that a single adverse regulatory action could shut down or severely limit SOAR's operations. Unlike traditional equity crowdfunding which operates within SEC exemptions, SOAR's model is an attempted end-run; this legal uncertainty is a major risk. So far, the approach is untested by courts – an adversary would flag that SOAR is one regulatory interpretation away from being non-viable.

- **Enforcement and "Gentleman's Agreement" Concerns:** The ultimate value for token holders relies on **private contracts** between the company and SOAR, not on immutable code. This creates an **enforcement gap**: if a company refuses to pay the debt at exit or contests it, token investors have no direct claim – only SOAR does, as contract counterparty [5] [51]. What if a company is acquired and the acquirer (perhaps a foreign entity) doesn't want to honor this contract? SOAR might have to sue, delaying or complicating payouts. In a bankruptcy, SOAR's claim could rank behind secured creditors or be invalidated. Essentially, the model rests on trust that companies *will* honor the debt and that SOAR will vigorously enforce it. A savvy founder could attempt to **circumvent the spirit** of the agreement (e.g. by structuring an exit as something not defined as a "Liquidity Event" in the contract, or by dissolving the company and selling assets in a new entity, etc.). These loopholes may be hard to fully close in contract language. Adversaries point out that without direct legal privity or a security interest for token holders, the whole "intrinsic value" promise is only as good as the platform's legal muscle and the founders' goodwill. This *gentleman's agreement* aspect [103] is a single point of failure: it's neither decentralized nor legally as robust as owning equity. In a contentious scenario, token holders could end up with worthless tokens and no recourse.

- **Platform Centralization & Counterparty Risk:** SOAR plays a pivotal intermediary role – it holds 1% of tokens, collects debt repayments, and decides how to distribute them [44]. This introduces several risks: (a) **Operational failure:** If SOAR (the company) goes bankrupt, gets hacked, or otherwise fails, what happens to ongoing projects? For instance, if SOAR's multisig wallet (holding 1% tokens and possibly investor funds temporarily) is compromised, that could directly impact token markets and confidence. If SOAR dissolves, who would enforce the debt clauses? There's no contingency or escrow noted – presumably everything hinges on SOAR's continuity. (b) **Moral hazard/Conflict:** SOAR has discretion over using exit proceeds for holders [44]. A malicious or desperate SOAR could misallocate or even siphon some of those funds before distribution. While that would destroy their reputation, in a scenario where SOAR is financially distressed, temptations for self-dealing could grow. (c) **Censorship/Control:** The platform could potentially censor or remove a project under the broad "Termination" clause if, say, management has disputes [97]. This could strand investors. Also, if regulators pressure SOAR, it might geo-block or freeze certain token activities, undermining the "anyone, anywhere" openness. Essentially, SOAR is not trustless – it's a centralized platform that must be trusted to act fairly and competently. Red-teamers would underscore that this is a **single point of failure**, contrasting it to more decentralized finance where contracts enforce outcomes without central authority.

- **Market and Price Dynamics Issues: Token price volatility** remains a concern despite SOAR's guardrails. A low float of ~5% can still lead to wild swings in price (even if FDV is displayed, many retail traders focus on circulating market cap). For example, a small group of speculators or a crypto influencer could aggressively buy a SOAR project's token, pump the price, then dump it on later buyers. The 72h mint notice prevents surprise dilution but doesn't stop pump-and-dump schemes from third parties. Additionally, if a project's token starts trading far above fundamental value, it creates risk of a sharp correction that hurts genuine long-term investors – the very outcome SOAR claims to mitigate. Conversely, **liquidity may be shallow**: if early buyers hold tokens tightly, later investors might find it hard to accumulate without spiking the price, or sellers might crash the price due to limited buy support. The bonding curve launch might mitigate some initial volatility, but after launch the market is open. No formal market-makers are provided (and SOAR explicitly says it doesn't do market-making) [79], so volatility and low liquidity are possible, especially in bear market conditions. These market integrity issues could lead to **poor price discovery** or investor losses, undermining confidence in the platform.

- **Founder Incentive Edge Cases:** While the model intends to align founders with success, there are scenarios where founder incentives might skew perversely. For instance, since founders raise money without giving equity, if they realize the business is failing, they might abandon it faster than a VC-backed founder would (who is accountable to a board and has given up equity). A SOAR founder who raised funds could, in a worst case, *treat the raise like a grant*: spend it on salaries or unrelated ventures and let the company die, knowing they owe nothing if it never hits a liquidity event (the debt only materializes upon success). This *lack of downside* for founders (no personal guarantee, no equity given up, and limited legal exposure if they don't commit outright fraud) could attract bad actors or lead to complacency once funds are raised. The Verified process (KYC, etc.) may filter total scams, but cannot prevent a founder from just not executing well or shifting focus. Traditional investors often sit on boards to continually align and push founders; SOAR lacks that mechanism. Therefore, an adversary might predict an influx of *hobby companies* – ventures that raise some money on hype, then stall without repercussions, leaving token holders in the lurch. This **long-term execution accountability** issue is untested: will community pressure be enough to keep founders delivering? Or will we see a "market for lemons" where many SOAR projects underperform, causing overall platform reputation to suffer?

- **Reputational and Adverse Selection Risks:** On the flip side, high-quality founders (especially those aware of legal nuances) might shy away from SOAR due to its experimental nature and potential signaling issues. If top-tier startups still prefer VC or regulated crowdfunding, SOAR may end up attracting mostly those who *couldn't* secure traditional funding. This adverse selection means investors on SOAR might consistently get weaker companies – a structural problem that could yield poor returns. Additionally, if any one SOAR project ends in scandal (e.g. founder misuses funds, or a regulatory enforcement on a project), it could tarnish the entire platform's reputation. Given the public and retail-facing aspect, a **single high-profile failure or scam** would invite media and regulator scrutiny on SOAR. Unlike a VC fund where failures are private, here a failure is on-chain and on Twitter. This reputational fragility is a risk: SOAR must maintain near-perfect standards to gain institutional trust, yet as it scales, controlling every project's outcome is impossible. A red team might specifically simulate: what if a founder flees with funds (even if legally they owe debt, practically they might hide overseas)? The legal agreements likely have arbitration in Wyoming [48], but enforcement across borders is tough. Any such incident would be highly public (on-chain evidence of a rugpull), severely damaging SOAR's credibility and perhaps drawing regulatory ire. **Market integrity relies on continued success stories**; a few bad actors could spoil it given SOAR's early-stage status.

- **Liquidity vs. Dilution Trade-off Limitations:** A critical analysis of SOAR's "non-dilutive" promise highlights a possible **dilution in different form**. While founders don't give equity, they effectively dilute future exit proceeds. If a founder raises, say, 5% via SOAR and later must raise VC, the VC will price in that there's a debt claim on exit. This could lead to more **onerous terms from VCs** (e.g. they might demand that the SOAR debt be capped or subordinated to their preference). It could complicate cap table dynamics – something an adversarial investor would probe. If VCs avoid companies with SOAR tokens, those companies might paradoxically struggle to raise follow-on funding, harming survivability (misaligning with the goal of helping them grow). Similarly for investors: while they avoid equity dilution, the founder can still issue up to 93% more tokens (with notice). Early token buyers could see their percentage of future value diluted if many rounds of new tokens are minted. Yes, there's a notice and rational limit (since founder doesn't want too much debt), but imagine a scenario where the company really needs cash – the founder might mint and sell another 10% despite the debt implications, tanking token price. In essence, **dilution mechanics still exist** (just in token form, not equity form). Sophisticated investors will realize that buying tokens at early stage comes with risk of later token inflation (like future equity rounds dilute early equity). The difference is they have no voting say in those issuances, only a 72h heads-up. This could become a pain point if used excessively, and opportunistic founders might push it ("Better to owe more later than run out of money now"). Such moves could hurt token holder interests and confidence.

- **Technology and Security Risks:** As with any blockchain platform, there are smart contract and custody risks. SOAR's token standard is custom (patent-pending suggests novel code) – a bug in the token or bonding curve contract could be disastrous (e.g. minting more tokens than intended, or an exploit letting an attacker drain the liquidity pool). If an exploit occurred, not only would investors lose funds, but the premise of a safe structured token issuance would be undermined. While we assume audits, the red team must consider worst-case: **"What if the DRP smart contract has a vulnerability?"** Since SOAR uses Solana, one must also consider network risk – Solana has had outages; a critical downtime during a launch or heavy network congestion could disrupt trading or price feeds. Also, reliance on Solana means dependency on its ecosystem (e.g. need stablecoins on Solana, need users to navigate Solana wallets – any friction or hack in adjacent infrastructure can hurt user experience or trust). Another tech risk is **integration of off-chain and on-chain**: the process where a founder's on-chain actions (mint requests) tie to off-chain announcements – any mismatch or failure there could lead to disputes (imagine a founder somehow mints tokens without proper notice due to a bug – chaos would ensue). A malicious actor could also target the platform's web infrastructure: e.g. if someone hacked the SOAR site and changed project info or posted false notices, it could manipulate token markets. In summary, as a new platform, **SOAR faces all the usual crypto tech risks plus the complexity of linking legal contracts to code**, providing a broad attack surface.

- **Investor Experience and Education:** On the softer side, adversaries would point out that many retail investors might not fully grasp SOAR's model. Despite disclaimers, some could *assume* the token is a guaranteed piece of the company. If expectations aren't carefully managed, there could be backlash or even lawsuits from investors claiming they thought it was equity. The fine print (no inherent rights) [6] might be lost on participants who see official company names on tokens and assume a direct tie. This mismatch could lead to PR and legal headaches (allegations of misrepresentation). Also, a lot of crypto investors are short-term oriented – will they stick around for a slow, steady growth of a real company? If not, the secondary market may not find enough patient buyers, leading to price dumps. The quality of "investor community" is crucial – a red-team might say SOAR could end up with *the worst of both worlds*: retail investors who are impatient and uninformed about startup realities (thus prone to panic or irrational exuberance), and no institutional investors (if those avoid platform for legal reasons), leaving a vacuum of mature oversight. This could impair the market integrity and also lead to founders being pulled in unproductive directions by noisy token holder demands (e.g. "wen moon?" sentiments). In contrast, in VC-funded startups, investor voices are few but knowledgeable; in SOAR, many voices, perhaps less experienced – which could be a challenge for founders to navigate.

In conclusion, the red-team perspective acknowledges SOAR's good intentions but emphasizes **critical failure points**: legal classification, reliance on platform enforcement, potential founder moral hazard, and market volatility. It underscores that SOAR has *not yet been battle-tested* through a full market cycle or a major exit. Until a flagship success (or failure) materializes, these concerns remain theoretical but plausible. An adversarial investor or allocator (like those at Tiger/SoftBank) would demand answers to these critiques: e.g., "What happens if a company refuses to pay?", "How will SOAR handle regulatory subpoenas or actions?", "Can you ensure token holders truly get value and are not left holding an empty bag if something goes wrong?" For SOAR to gain institutional trust, it must address or mitigate each of these points – through stronger legal structures (maybe trusts or escrow for debt payoff), insurance or reserves for enforcement, clear contingency plans, and robust tech auditing and security practices. This critique is not to damn the model, but to stress-test it; any *one* of the above issues mishandled could collapse stakeholder confidence. The next section will formalize these and other risks in a risk register, and the final section will guide how an investment committee might weigh these factors.

Risk Register

The following **Risk Register** identifies key risks associated with SOAR's platform and model, with an assessment of likelihood and impact (High/Medium/Low) and suggested mitigation or responses. This register is intended as a monitoring tool for stakeholders and for SOAR's own risk management.

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
Regulatory Classification (Securities Law)	The risk that SOAR-issued tokens are deemed securities by regulators (SEC, etc.) despite SOAR's disclaimers [6] . This could lead to enforcement actions halting offerings or trading. Impact: SOAR might have to suspend operations or register tokens (costly and complex); founders and investors could face legal troubles (e.g. rescission offers). *Likelihood:* Arguably **High** in major jurisdictions (the tokens clearly represent investment in a venture, which regulators tend to classify as securities). The SEC has already pursued crypto projects for less explicit profit ties. *Impact:* **High** – regulatory shutdown or forced compliance could kill the platform's viability or exclude key markets (like the U.S.).	High	High	**Mitigation:** Proactively geofence or restrict U.S. persons from participating (though this limits market). Seek no-action letters or work under an exemption (perhaps Reg D private offerings of tokens to accredited investors, or Reg A+ for semi-public, though that undermines "anyone" access). SOAR could also lobby for regulatory sandboxes or new frameworks (e.g. using Wyoming's crypto-friendly laws) – however federal law likely dominates for securities. Maintain rigorous legal opinions on why DRP is not a security (citing precedents) as a defense, but be prepared with a Plan B (like pivoting to a registered crowdfunding portal if forced).

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
Contract Enforcement Failure (*Founder defaults on debt obligation*)	The company (founder) does not honor the Debt Agreement at liquidity event – e.g. disputes the amount owed or structures a deal to avoid it. Impact: token holders don’t receive the value they expected; could result in lawsuits or arbitration. Could also disillusion market (faith in model broken). *Likelihood:* **Medium**. Most reputable founders will comply (their KYC info and company is known), but in a large exit, pressures might arise (founder/VCs might push to minimize pay-out). If a company is bought by another that refuses the arrangement, it could trigger non-compliance. *Impact:* **High** for that project’s investors (value loss), and **High** for platform reputation (future participants lose trust).	Medium	High	**Mitigation:** Structure agreements to have strong legal teeth – e.g. make SOAR’s claim a lien or senior preferred equity that *automatically* gets a slice of proceeds. Possibly involve third-party escrow for exit events (money goes into escrow, and token holders or SOAR have a say). On the platform side, vet founders and cap table for willingness to comply. Maintain good relations with the startup’s major shareholders (like if VCs come in later, get them on record acknowledging the SOAR debt). In event of dispute, SOAR should be ready to litigate/ arbitrate swiftly to enforce rights (perhaps even having a buyback of tokens clause to satisfy holders). Also, ensure “Liquidity Event” is defined broadly in contract to prevent loopholes (sale of assets, mergers, etc., all count).

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
Platform Failure / Insolvency	SOAR (the platform company) faces financial failure, shutdown, or loss of key personnel. Since SOAR is central to enforcement and operation, this could strand ongoing projects and token holders. *Likelihood:* **Medium** – as a startup itself, SOAR has business risk (market adoption, revenue sufficiency, compliance costs). *Impact:* **High** – if SOAR ceases, who manages the debt contracts? The platform might not be around to collect from companies or to maintain the web infrastructure for disclosures. It could render the tokens effectively orphaned, trading without a supporting ecosystem or enforcement mechanism.	Medium	High	**Mitigation:** Capital planning to ensure SOAR's own runway; diversify revenue (trading fees, perhaps a future SOAR token or equity funding). Possibly put critical assets in a trust – e.g. the contracts could name a backup trustee to enforce debt if SOAR cannot. Open-sourcing some of the platform code or decentralizing parts (like the on-chain announcement process could be community-run) can reduce reliance on the central entity. In extreme scenario, if SOAR failed, ideally each project could continue trading and handle debt via another agent. Building an alliance with an entity (like a law firm or foundation) that could step in as contract enforcer helps. Transparent communication about platform health to users is important to avoid panic. Key-man insurance or succession planning for leadership also relevant (if founder of SOAR leaves, ensure continuity).

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
Smart Contract Vulnerabilities	A bug or exploit in the token smart contract (DRP standard) or the bonding curve AMM. For instance, an attacker might mint unlimited tokens, or drain liquidity, or the contract might malfunction in minting logic. *Likelihood:* **Low** if properly audited, but not zero (DeFi history shows even audited contracts sometimes have bugs). *Impact:* **High** – a critical bug could collapse trust in all SOAR projects (if one token is exploited, investors will worry others might be too). Could cause financial loss for participants and founders, and legal liability for SOAR if negligence is alleged.	Low	High	**Mitigation:** Extensive third-party audits by top firms; perhaps a formal verification of key properties (like "only founder can mint, and only according to the rules"). Bug bounty programs to incentivize ethical discovery. Modular design – if the bonding curve is a known template (like Balancer/Curve code) use battle-tested code rather than custom from scratch. The platform should ideally insure or have a reserve fund for contract failure (maybe a portion of fees set aside) to compensate users if a bug causes loss. Also, rapid pause capabilities: if an exploit detected, having an admin key (multisig) to pause the contract could limit damage – though that introduces centralization, so it must be secured. Communication plan to quickly inform participants in case of incidents is also key (so they aren't left in the dark during exploits).

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
Market Volatility & Investor Losses	The risk of extreme price swings or collapse in token value, causing significant losses to participants. This could be due to speculator manipulation, broader crypto market crashes, or low liquidity. *Likelihood:* **High** – crypto markets are volatile by nature; even with SOAR's safeguards, one can expect large fluctuations especially for early-stage ventures. *Impact:* **Medium** on platform (volatility is expected by users somewhat, but severe losses could deter new users), **High** on affected investors (could lose most of their money). If many projects crash, could lead to negative press "investors lose 90% on SOAR offerings", harming platform growth.	High	Medium (Platform); High (Investor)	**Mitigation:** Educate investors emphatically: these are high-risk startup assets, expect volatility. Provide tools like circuit breakers on the AMM (maybe limit price impact per trade or daily volume controls) – though in decentralized context that's hard unless using a custom AMM. Encourage projects to maintain communication during downturns to avoid panic sell-offs. Possibly implement an *insurance fund* or backstop liquidity mechanism: e.g. SOAR or project treasury could stabilize price in certain conditions (though TOS says no market making, maybe reconsider limited interventions for integrity). Another angle: limit initial valuations – ensure starting price is low enough that even a surge doesn't reach absurd FDV, thereby reducing bubble risk [23]. Ultimately, some volatility is inherent; mitigation is mostly via transparency and setting realistic expectations (so that a price drop isn't seen as betrayal but as part of market reality).

Founder Misconduct or Failure (Moral Hazard)	A founder misuses raised funds (fraud, personal use) or simply fails to execute post-raise due to lack of accountability (since they gave no equity or board seats). In worst case, an outright scam could slip through (founder passes KYC but project tech/claims were fake). *Likelihood:* **Medium**. KYC and curation reduce outright scams (low likelihood for blatant fraud on curated list), but **Medium** for underperformance or funds misuse – startups fail often, and absence of VC oversight might allow more slack. *Impact:* **High** for that project's investors (total loss possible), **Medium** for platform (one failure is expected, but pattern of failures would be damaging). If a high-profile project implodes scandalously, impact on platform trust is high.	Medium	High (for project); Medium (platform, unless multiple cases)	**Mitigation: Due diligence**: beyond KYC, SOAR should vet business plans, require founders to provide evidence of product or traction (especially for Curated projects). Possibly involve third-party experts or "Scouts" to assess viability [53] – the Scout program hints at leveraging VC/experts to improve project quality. Use milestone-based approach: e.g. maybe not release all raised funds to founder at once? (Currently funds presumably go immediately to founder's wallet, but an escrow with milestones could deter cash-and-abandon scenarios – however, that reintroduces an intermediary role). Implement ongoing monitoring: require quarterly updates from founders on progress, and flagging mechanism if a project goes silent or deviates massively. For blatant misconduct, have legal clauses that founder is personally liable (though collecting is tough). Platform-wise, transparently remove and denounce bad actors to show commitment to quality. Over time, building a track record of competent founders will raise confidence – early on, SOAR might

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
				start with relatively mature companies (with revenue or MVP) to prove model, rather than pure idea-stage where failure odds are highest.

Lack of Follow-on Funding / Exclusion by VCs	Companies that raise on SOAR might struggle to attract traditional VC for the next funding round, either due to legal complexity (VCs may not like the debt-overhang or public token) or stigma (perceived as "couldn't raise from VCs first"). This could strand companies, hurting their survival odds (which in turn hurts token investors). *Likelihood:* **Medium**. Some forward-thinking VCs might embrace it, but many will be cautious. *Impact:* **Medium** for platform: if SOAR rounds are seen as a dead-end, quality founders may avoid it, and existing companies might fail for lack of capital. **High** for those companies/ investors individually (company might run out of money).	Medium	Medium (platform); High (company)	**Mitigation:** Work to integrate with the VC ecosystem instead of opposing it. For example, **hybrid models**: allow or even encourage VCs to invest alongside the SOAR process (maybe via buying tokens or a parallel equity round with terms acknowledging the token debt). Highlight that SOAR can serve as a bridge to VC (provides market validation and community before VC). SOAR could form partnerships with forward-looking VC firms or syndicates (maybe some VCs become Scouts and get fee share to bring deals [53]). Legally, ensure the debt addendum is something a VC can live with – possibly allow conversion of the SOAR debt to equity in a priced round (giving VCs comfort that it won't sit above them forever). If necessary, provide templates for how a company can do a VC round after a SOAR raise (like carve-outs or adjustments to the token model). Success stories of mixed fundraising will mitigate stigma. Essentially, make SOAR an on-ramp to the traditional funding highway, not a detour that leads nowhere.

Reputational Risk & Public Perception	Negative publicity around SOAR or its projects – whether due to a failed project, an investor loss story, or general skepticism ("yet another ICO-like scheme") – could deter users and partners. Institutional allocators might be especially sensitive to reputational harm. *Likelihood:* **High** over time – inevitably some projects will fail or someone will write a critical article equating SOAR to past token sales. *Impact:* **Medium** – slow adoption, reluctance by top-tier projects or investors to participate. If very bad PR (e.g. "SOAR project was a scam, regulators investigating"), impact could become High (immediate loss of new user signups, maybe user withdrawals if any custody, etc.).	High	Medium	**Mitigation:** Proactive PR and education. Emphasize differences from ICOs: real companies, transparency, etc. Have **risk disclaimers** front and center (so media can't say investors were misled – be honest that these are risky). Highlight any successes (case studies where token holders got rewards, or where company used funds to achieve milestones). Engage with the community and address criticisms openly – perhaps regular blog posts or AMAs tackling tough questions (like regulatory stance). Also, **community management**: ensure investor community feels heard and treated fairly, to avoid grassroots negative sentiment spreading. Building a strong brand with thought leadership (e.g. SOAR publishing whitepapers on compliant tokenization) can attract positive attention. For institutional audience, provide white-glove explanations and perhaps side-car options (like an institution could invest in a project's equity alongside tokens – structure options to make them comfortable). In crisis events (like a project default), handle it

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
				professionally: communicate what went wrong, how SOAR is improving vetting or processes as a result, and if possible, offer some remedy (even if goodwill gesture) to affected investors to show platform responsibility.

Technology Platform Risk (Non-smart contract)	Bugs or failures in the SOAR web platform, API, or integration points (e.g. the app, docs site). For example, a glitch that displays incorrect info (wrong tokenomics shown), or downtime during a crucial launch window, or chat system misuse (phishing of investors). *Likelihood:* **Medium** – normal software risk. *Impact:* **Low to Medium** – a minor bug could be low, but something like downtime during a sale could cause missed investment opportunities or loss of confidence. If someone exploits the site to scam users (like posting fake addresses in chat), that could lead to investor losses (medium impact and reputational damage).	Medium	Low-Med	**Mitigation:** Strong QA processes for the app (especially around critical events like launch). Have backups and redundant systems for uptime (perhaps allow direct interaction via blockchain as fallback if site is down – because tokens are on-chain, users could interact via Solana CLI or a standard interface if they know how). Provide official communication channels on a more decentralized medium (Twitter, Telegram) to inform users if the site is down or if any issue arises. Also, moderate the community spaces to prevent scams: e.g. warn that official announcements will also be on-chain or on verified socials, so users shouldn't trust random DMs. Essentially, typical web security: SSL, secure authentication, bug bounties for site vulnerabilities, etc. Given the financial nature, also ensure **anti-frontend-hijack** measures (DNS security, etc.), since if the site is compromised, users could be redirected to malicious transactions. Keeping critical operations on-chain (like the actual trade execution) mitigates some risk, but many users rely on the UI to not make mistakes – so invest in interface

Risk	Description and Potential Impact	Likelihood	Impact	Mitigations / Notes
				safety features (confirmation modals, etc.).

Each risk above should be **owned** by SOAR's management with specific action plans. For example, Regulatory risk could be owned by the General Counsel, Smart contract risk by the CTO with audit actions, Market volatility by a Risk Committee monitoring markets, etc. The **likelihood** and **impact** ratings are qualitative and can be adjusted as more data becomes available (e.g. if regulators give positive signals, downgrade likelihood; if a new exploit type is found in Solana, maybe upgrade tech risk). This living risk register allows institutional stakeholders to see that SOAR is aware of and addressing these issues – a critical component when presenting to Investment Committees or due diligence teams.

Decision Memo Template (for Internal Investment Committee)

When considering an investment or strategic decision involving a SOAR-launched company or the SOAR platform itself, an **Investment Committee (IC)** will require a structured memo capturing the key considerations. Below is a template that can be used for an internal decision memo. It separates factual data, analysis, and recommendation in a clear format:

Decision Memorandum: [Project Name] via SOAR Platform

- **Proposal:** *(What is being decided?)*
  e.g. "Invest $X in [Project Name]'s token offering on SOAR" or "Allow [Our Portfolio Company] to raise on SOAR" or "Strategic partnership with SOAR platform."

- **Overview of [Project Name] and SOAR Terms:** *(Brief description of the company and summary of the token offering mechanics.)*
  – Company: [Sector, business model, stage of development].
  – SOAR Offering Details: [Token ticker], initial token supply = X (Y% of total 1B), price at launch = $**, funds sought = $**, implied initial market cap = $**, SOAR debt percentage = Y% (if fully taken up).** [11]
  – Founder Verification status: [Verified/Curated?], key team members and KYC done.
  – Legal: Founder signed SOAR Launch and Debt agreements (non-dilutive, obligating ~Y% of exit value to SOAR/token holders) [20] **.**
  – Timeline: Launch date [date]; 3-month lockup until [date]; any planned secondary issuances?
  – Current token trading (if already launched): price = $, market cap = $**, liquidity depth = $**.
  – Use of Proceeds: [Founder's stated use of funds from SOAR raise – product dev, marketing, etc.].

- **Strategic Rationale / Alignment Assessment:** *(Why would we consider this investment or decision? Does it fit our strategy?)*
  – **Exposure & Returns:** This gives us [early exposure to a high-growth startup] with liquidity. Potential upside if company succeeds (token could appreciate or yield exit payout). Compare with traditional equity: token has no voting rights, but we anticipate [X]% of company value via

tokens if successful [19].
– **Incentive Alignment:** Founder is retaining equity, which we typically like (hungry for success), but we note they have an obligation to buy back tokens or pay out at exit, which aligns them to deliver an exit [18]. However, lack of board control means we rely on founder's alignment and SOAR's contract.
– **Founder Quality:** [Our evaluation of founder's background, capability – e.g. serial entrepreneur, domain expert]. Does the founder's profile inspire confidence despite lack of traditional VC oversight?
– **Market & Product:** [Project's market opportunity, competitive advantage]. Is this an area we want exposure in? Does the token model enhance the product (e.g. community building) or is it merely a financing tool?
– **Community Engagement:** The company has [N] followers on SOAR, [M] participants in token sale – indication of community support (or lack thereof). This crowdsourced interest can be a positive signal if strong.
– **Platform Trust:** Does using SOAR create any concern for us? (e.g. regulatory or reputational risk by association). Or can it be a strategic advantage (liquidity, broader investor base)?
– **Comparison to Alternatives:** Could we invest via equity instead? If so, why choose tokens? Perhaps tokens are the only available route or provide immediate liquidity options. Also note if we already have equity in company (how tokens might affect our position).

- **Key Risks and Mitigations:** *(Specific to this decision.)*
– **Regulatory:** The token might be deemed a security – any indication of compliance (e.g. U.S. investors excluded, or legal opinion provided)? [41]. Mitigation: structure our participation via an SPV if needed to manage legal risk, or limit exposure.
– **Liquidity/Volatility:** We might face high volatility. Plan: treat this as long-term hold despite liquidity, or set stop-loss/target strategies if purely financial.
– **Enforcement Risk:** If the company exits, will we actually see value? Mitigation: perhaps push for an arrangement where exit proceeds go through a reputable escrow agent. Acknowledge we lack typical shareholder rights.
– **Project-specific risks:** [e.g. Tech execution risk, regulatory risk in project's industry, etc.]. Also, note if founder has any red flags in background (SOAR KYC likely clear, but our independent check findings).
– **SOAR Platform risk:** If something happened to SOAR (platform fails or changes terms), how does it affect our investment? Mitigation could be to insist on a contingency: e.g. company agrees to convert our tokens to equity or similar if SOAR dissolves (though that's not currently standard, we might negotiate side letter).

- **Scenario Analysis:** *(Optional, for investment decisions – best case, base case, worst case outcomes.)*
– *Best Case:* Company grows exponentially, token price increases 10x, and in 5 years a major acquisition occurs; we receive exit payout of $___ (assuming we hold tokens through exit).
– *Base Case:* Company meets some milestones, token fluctuates but maybe doubles in value as community grows. No exit in sight; we can choose to sell in market after a year for moderate gain.
– *Worst Case:* Company fails or stagnates, token value drops 90%. No exit, tokens illiquid at meaningful price. Loss of most of investment. (Also consider platform worst-case: regulatory shutdown freezes trading, etc.)

- **Due Diligence Performed:** *(Summarize what analysis has been done by the team.)*
– Team interviewed founder (date); reviewed product demo; checked industry references.
– Technical due diligence: [if applicable, e.g. our engineering team reviewed their tech stack or smart contract and found X].

– Legal: consulted counsel on token structure – main concern is [securities law in our jurisdiction], but plan to [hold less than Y% or comply via Reg D, etc.].
– Cap table: if company has prior investors, have they consented to this token raise? (We should note if any known investor is on board – a good sign, or if they avoided it – a flag.)
– Financials: [if provided, e.g. $Z revenue or burn rate]. Evaluate whether SOAR funds will sustain runway for [N] months; likely need for follow-on funding? If so, what's plan (another SOAR round vs. VC round?).

- **Recommendation:** *(The IC's decision recommendation and rationale.)*
  e.g. "**Proceed with a $250k investment** via purchasing [Project] tokens on SOAR at launch, under the following conditions: (1) Limit order at or below $___ per token to avoid overvaluation, (2) aim to accumulate roughly X% of circulating supply, (3) plan to actively engage with founder post-investment (possibly negotiate an advisory role to stay informed), and (4) continuously monitor regulatory developments affecting token holdings."
  – Or if the decision is negative: "**Decline** the opportunity to invest in [Project] on SOAR. Rationale: Regulatory and enforcement risks outweigh the potential returns, and we have unresolved concerns about the founder's ability to execute without traditional oversight. We prefer to revisit if the company seeks a conventional equity round."
  – If the decision is about a portfolio company using SOAR: e.g. "**Approve [PortfolioCo] launching on SOAR** to raise its next tranche, but with stipulations: they must cap the circulating token to 5% to limit future debt, and ensure their legal counsel reviews the SOAR agreements to avoid conflicts with our shareholder rights. We will also assist them in communicating this move to other stakeholders."

- **Next Steps:** *(What actions to take following the decision.)*
  – If investing: assign team member to execute token purchase (set up wallet, ensure KYC on platform if needed). Possibly engage with SOAR team for any large allocation if we want to invest size (though no preferential treatment officially).
  – If monitoring: set checkpoints (e.g. re-evaluate in 6 months how the project is doing, or if any tokens to buy on dips).
  – If declined: politely inform the founder (if we were directly in talks) of our decision and keep channel open for equity round.
  – If approved portfolio use: work with founder to prepare their SOAR campaign, maybe coordinate that our firm can publicly support it to boost credibility.

This template ensures the IC considers all relevant angles: the fundamentals of the company, the specifics of the SOAR structure, alignment of incentives, risk factors, and strategic fit. By documenting these, the IC can make an informed, defensible decision. It also provides a record to revisit later (e.g. "Did the risks manifest as expected?"). For institutional allocators unfamiliar with SOAR, such memos are vital to translate a novel model into the familiar language of investment risk and return.

(Note: The above template can be adapted for different contexts, but it's written with the scenario of an investment decision in mind – which is likely for Tiger Global or SoftBank evaluating either investing in a SOAR-listed startup or potentially the SOAR platform's own fundraise if any.)

Evidence Log

This evidence log catalogs the key sources referenced in the research above, along with a grading of their quality and notes on any gaps or biases. The citations are in the format 【source†lines】 as they appear in the report:

1. **SOAR Documentation – Official Site and Docs** – *Quality: High (primary source)*. This includes the SOAR Docs site and main website content, such as Terms of Service [41] [39], Privacy Policy [104] [105], and product documentation on the DRP standard [2] [106]. These are authoritative for how SOAR presents its model (legal terms, token mechanics, FAQs). They are one-sided (SOAR's own description), but crucial for factual details like the 1B supply, 5% initial float, 3-month freeze, and the contractual obligations. No independent verification in these, but they set the baseline. *Gaps:* They understandably frame everything positively and gloss over how enforcement works in practice (e.g. no case studies yet). We had to infer some risk areas that the docs don't mention (like what if a founder defaults). The legal sections explicitly outline SOAR's liability limits and disclaimers – which we cited to highlight their stance on not being liable for token legality [105]. Overall, these sources are reliable for *what* SOAR claims and how it is supposed to work.

2. **PANews / Foresight News article – "New coin issuance platform Soar… DRP standard"** (by Eric) [7] [4] – *Quality: Medium.* This is a journalistic piece from a crypto news outlet providing an interpretation of SOAR's model. It was useful because it paraphrased the DRP mechanics and explicitly pointed out things like the private contract governance and the fact that issuers lose value when deploying tokens but can regain by buying back [4]. It also raised the question we echoed about implementation: contract vs. gentleman's agreement [103]. The quality is decent – it's based on SOAR's communications and perhaps interviews, but it's not an official source. It provides an external perspective that largely aligns with SOAR's description but in plainer language, and adds a bit of skepticism (which informed our critique). *Gaps:* It's early and theoretical (notes that details are to be revealed), so it doesn't have hard data on actual launches. It treats SOAR in concept; we had to update where by now a few projects launched. Overall, it's a helpful explanatory secondary source, giving some validation that we interpreted the mechanics correctly and highlighting likely concerns.

3. **SEC Regulation Crowdfunding information** [49] [50] – *Quality: Very High.* Official SEC site detailing the rules of Reg CF. We used it to contrast equity crowdfunding limits (max $5M, investor caps, 1-year lock on resale) with SOAR's unregulated approach. This source is authoritative about U.S. law. *No gaps* on its subject – it's very clear. It wasn't about SOAR directly, but crucial for benchmarking alternatives. By citing it, we give weight to statements like "Reg CF has a $5M cap and requires intermediaries and disclosure" which we compare to SOAR's unlimited raise and lighter disclosure. No bias – pure factual rule summary.

4. **Margex Blog – "ICO vs IEO vs IDO differences"** [91] – *Quality: Medium.* A crypto exchange blog explaining distinctions between fundraising models. We specifically cited a portion highlighting that in IEOs, the exchange vets the project and the sale happens on the exchange [93]. This is factual and aligns with general industry understanding, though as a blog it's not an academic source. It's reasonably accurate (the blog seems educational, not shilling something in that excerpt). It helped to have an external confirmation of how IEOs provide credibility through vetting – useful in our benchmark matrix. *Gaps/Bias:* It's a simplified overview; it doesn't provide data or critical analysis of failure rates. We combined it with our knowledge. It's fine for basic definitions but we didn't rely on it for any controversial claims.

5. **CoinTerminal Article – "Web3 Launchpads vs Traditional Crowdfunding"** [107] [108] – *Quality: Low-Medium.* This is a promotional blog from a launchpad (CoinTerminal). We used it sparingly to glean general points: e.g. how Web3 launchpads offer tokens that can accumulate value and be traded [107], and the examples of major launchpads like Polkastarter, DAO Maker [109]. The content is generally true but obviously boosterish about web3. We treated it as anecdotal support, not gospel. *Gaps:* It doesn't mention negatives of launchpads – we covered those ourselves. It served more to verify that typical launchpad narratives emphasize ongoing engagement and liquidity – which we contrasted with SOAR's approach.

6. **GetProven Blog – "5 Ways VC Firms Add Value"** [94] – *Quality: Medium.* A blog from an investment platform, summarizing research on VC value-add. We cited a key statistic: startups with VC operational mentorship see 35% better growth and are 2.5× more likely to hit milestones [94]. That stat appears well-sourced in the blog (likely referencing industry research). This supports our point that traditional VC involvement can improve outcomes, something SOAR lacks directly. It's relevant to investor quality and alignment. *Bias:* The site sells a product to help VC portfolio management, so it's incentivized to talk up VC support value. But the stat itself likely comes from credible study (the numbers seem plausible). We used it to emphasize a known concept (VC mentorship helps). Not central to SOAR, but important context in our benchmarking and alignment sections.

7. **SOAR FAQ (docs)** [15] [3] – *Quality: High (primary).* The FAQ was part of source #1 but worth highlighting because it contained critical clarifications (e.g. 3-month freeze rationale [15], and confirmation that the capital is indeed non-dilutive because the agreement is debt [3]). We cited these to underpin claims about anti-pump-and-dump and non-dilution. It's straight from SOAR, so accurate to their design. No external validation needed for those assertions. *Gaps:* As with all SOAR's own material, it doesn't mention downsides. But the FAQ was quite straightforward on key points (e.g. "if company fails, debt remains liability" – they admit that [83]).

8. **Scout Program info** [53] [38] – *Quality: High (primary).* Provided insight into SOAR's plans to involve community/VC connectors in sourcing deals (with a 25% fee share incentive) [38]. We used this to comment on community involvement and quality control. It's directly from SOAR's docs. It's reliable for what the program is supposed to do. *Gaps:* It says "coming soon" – so as of writing, it might not be active. We assume it reflects intentions. There's no data on whether it works, but as evidence it shows SOAR's strategy to attract quality projects.

9. **PANews details on mechanics** (various lines) – *Quality: Medium, already covered in #2.* The PANews piece had multiple bullet points we referenced about holding period, disclosure requirement, automatic settlement triggers [28] [110]. These were extremely useful to confirm our understanding of how SOAR enforces discipline on founders (the text explicitly mentions holding period before founder can sell and public disclosure before releasing tokens) – which we couldn't find spelled out as clearly on the official docs. This suggests those features are real (the 72h notice we did find on docs, the holding period we inferred and FAQ confirmed 3 months). The PANews piece in English likely came from a Chinese analysis of SOAR's Chinese whitepaper or tweet, but it appears accurate. *Quality Note:* It's a secondary interpretation but aligns well with official FAQs.

10. **Example Projects Info (Empulser, etc.)** – *Quality: Low (marketing blurbs).* On the main site, there are short descriptions of projects like Empulser (wireless power co.), DeFiance Media, Morphist AI [111] [112]. We didn't heavily cite these, mostly used to illustrate that real companies (not just crypto protocols) are launching. It's factual that those companies are on SOAR. We did not assess those companies' merits in-depth (outside scope). *Gaps:* We didn't have external info on how

their launches went in terms of funds raised or token performance – that data wasn't readily available on sources we browsed. This is something an investor would want but we could not find in connected sources.

Source Quality Summary: We leaned on primary sources for the framework (SOAR's own docs) and supplemented with credible secondary sources for context (SEC rules, known industry facts about ICO/IEO, etc.). The PANews article acted as a quasi-independent analysis that we found valuable for critique angles. No academic or highly neutral third-party analyses exist yet (SOAR is too new), which is a gap: we don't have long-term empirical data on a SOAR launch outcome. We bridged that by using analogous data (like general startup failure stats, VC value-add stats).

Gaps or Unknowns Not Fully Addressed: - *Empirical outcomes:* How much did the initial SOAR projects raise? How are their tokens performing now? We couldn't get this from connected info. It would be great to know if, say, Empulser's token price held steady or crashed – but no source available in this interface gave those numbers. This remains an unknown in our report; we speak theoretically about volatility but no concrete example from SOAR's own launches. - *Legal interpretations:* We have SOAR's take and our analysis, but no regulatory feedback yet. We didn't find sources saying "SEC investigating SOAR" or "Law firm opinion on DRP token." That's both a gap (no external validation of legality) and a reflection that it's novel. We flagged the risk but can't cite a precedent of a similar model being either blessed or punished. - *Investor sentiment:* No user reviews or investor discussions were cited. For instance, maybe on Twitter or forums some early participants commented on the experience. That could provide insight into community perception. Not found in our search results (perhaps because the session is browser-only, not scanning social media deeply). We extrapolated likely sentiment from known issues in ICOs and equity crowdfunding. - *Alternate platforms:* We listed alternatives like tokenized SPVs but did not find a specific case study to cite (e.g. "AngelList did a tokenized SPV with X success"). We used general knowledge and some web references (like propelx and legalnodes were found but not opened due to time). So that part is somewhat qualitative. A more data-driven approach could cite number of companies funded via each method etc., but that was beyond scope to gather here. - *Quantitative returns:* Obviously unknown – no track record to cite on returns for SOAR investors. We couldn't provide, say, "SOAR tokens have on average done XYZ" because data doesn't exist publicly yet. - *Softbank/Tiger stance:* There was no direct source on how these institutional investors view crypto fundraising. We inferred what they'd scrutinize. Possibly news if Tiger ever participated in a token sale could be relevant, but we didn't come across that. We tailored the tone to what we presume they want (risk-focused, comprehensive), which is an inference.

Each source we used served a purpose in building a rigorous analysis. All critical factual claims (especially about how SOAR works) were backed by primary source citations, while comparisons and context used credible general knowledge citations. The evidence quality is overall strong for factual premises and moderate for predictive or evaluative statements (those we supported with logic and analogous data).

Where information was not found, we acknowledged or reasoned it out (e.g. enforcement scenarios). The lack of hard data is itself noted as the model being new – something an IC would consider. In summary, the sources provided a solid foundation to describe SOAR and contrast it with other models, and we clearly flagged speculative areas (the critique section is based on logical extrapolation informed by sources like PANews and known industry pitfalls).

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